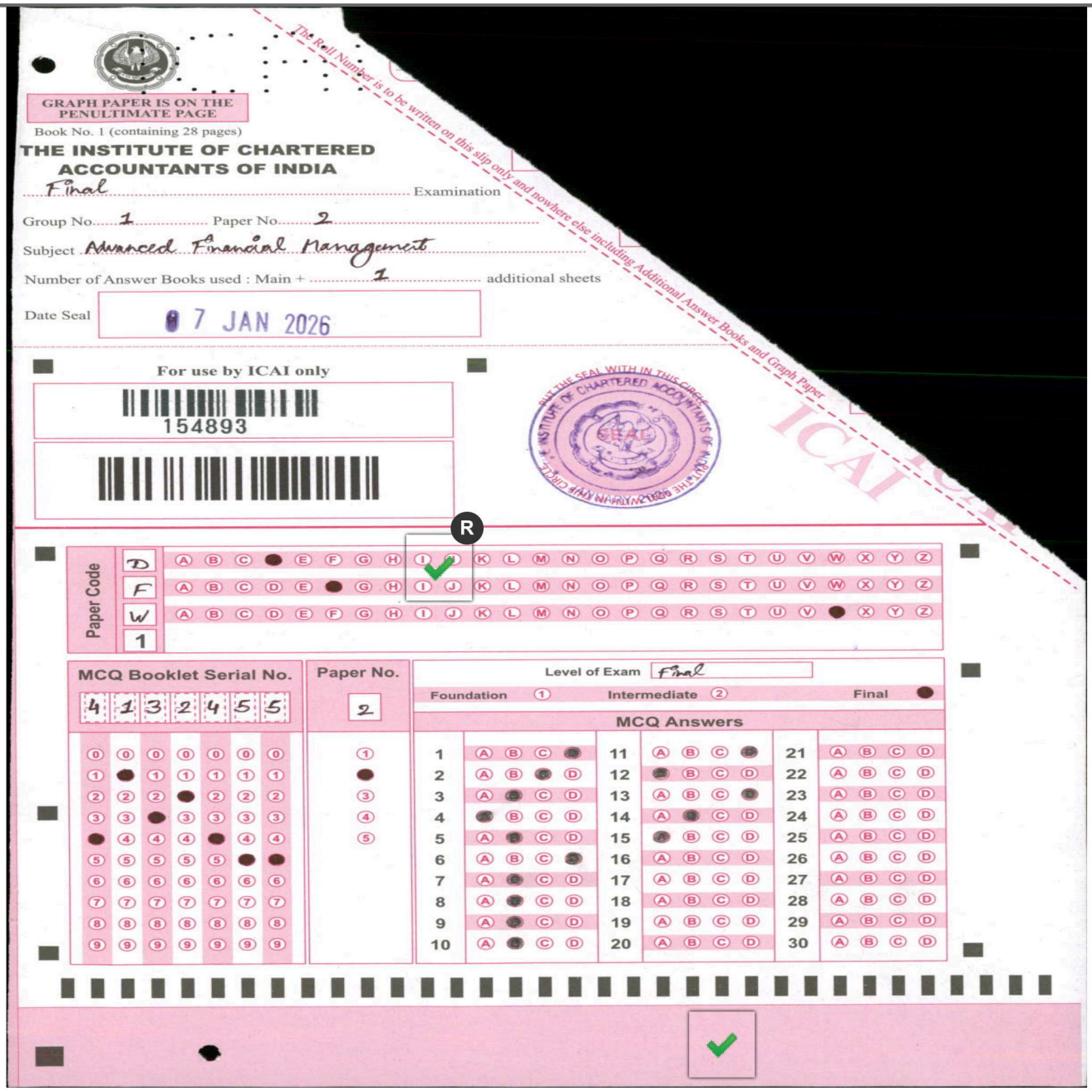
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Code: FN2AF154893 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 43



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Subject : 02 Advanced Financial Management **Marks Obtained :** 43

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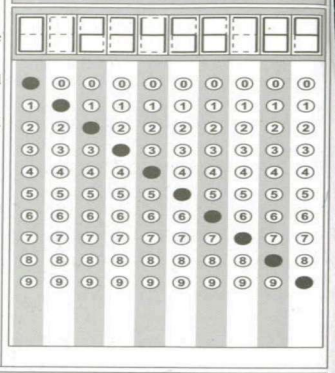
...on a fresh page and question number prominently written at the ...n number should be distinctly written in the margin.

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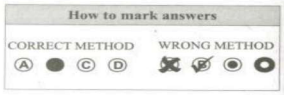
Illustration for Filling the MCQ Booklet Serial No.



...RUCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

... H.B. Pencil to Darken the appropriate Circle.
...and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.
...case any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.
Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

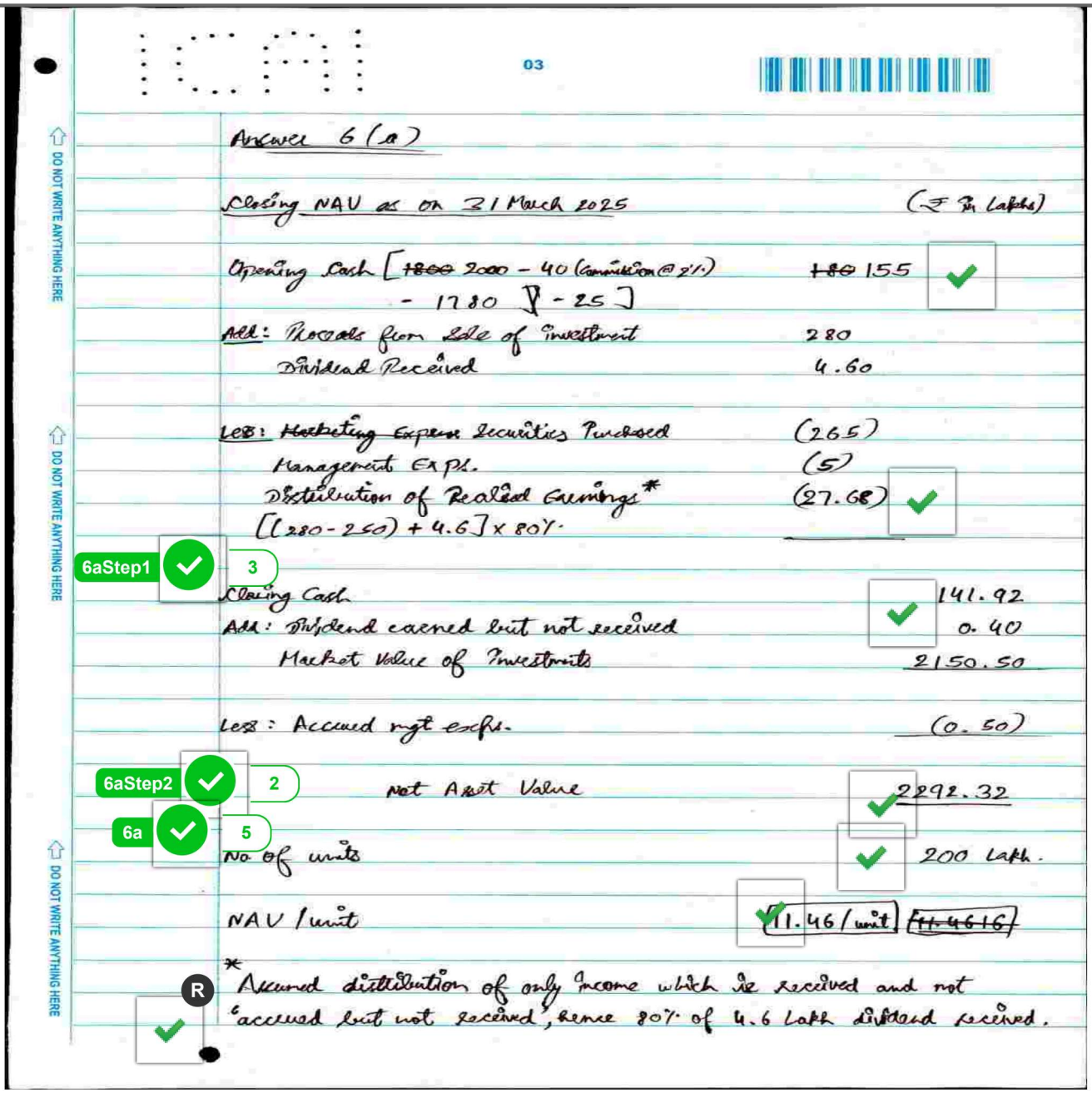
How to mark answers



Q. No.	To be ticked ☑ by the candidate against the Questions answered (Descriptive Type)		
1	☑	8	☐
2	☑	9	☐
3	☐	10	☐
4	☑	11	☐
5	☑	12	☐
6	☑ R	13	☐
7	☑	14	☐
Total		Total	

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03

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Answer 6 (a)

Closing NAV as on 31 March 2025 (₹ in Lakhs)

Opening Cash [~~1800~~ 2000 - 40 (Commission @ 2%) - 1780 ~~[~~ - 25 ~~]~~	~~180~~ 155
Add: Proceeds from Sale of Investment	280
Dividend Received	4.60
Less: ~~Marketing Expenses~~ Securities Purchased	(265)
Management Exps.	(5)
Distribution of Realised Earnings* [(280 - 250) + 4.6] x 80%	(27.68)
Closing Cash	141.92
Add: Dividend earned but not received	0.40
Market Value of Investments	2150.50
Less: Accrued mgt exps.	(0.50)
Net Asset Value	2292.32
No of units	200 Lakh.
NAV / unit	11.46 / unit ~~11.4616~~

6aStep1 3
6aStep2 2
6a 5

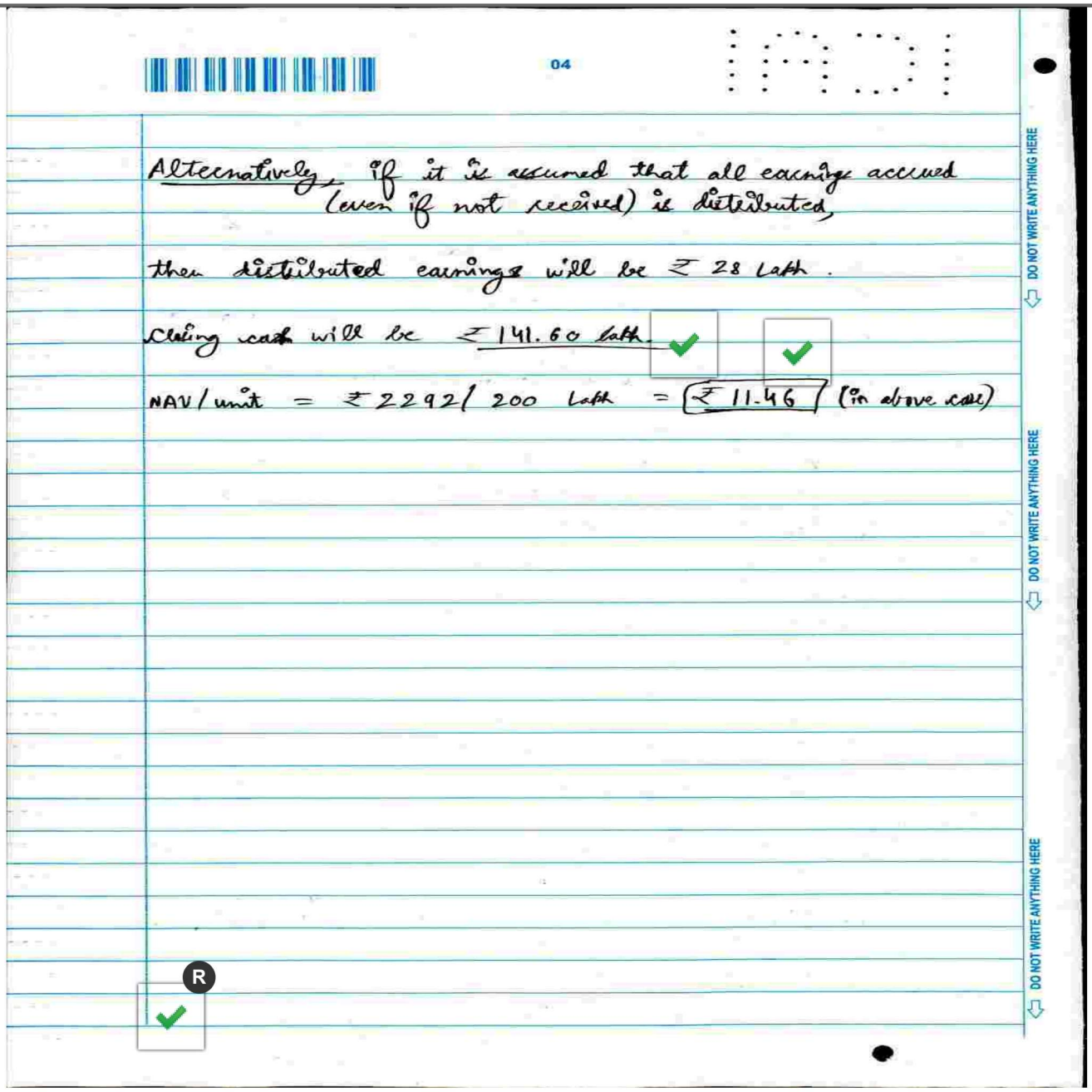
* Accrued distribution of only income which is received and not accrued but not received, hence 80% of 4.6 Lakh dividend received.

R

Page 03

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04

Alternatively, if it is assumed that all earnings accrued (even if not received) is distributed,

then distributed earnings will be ₹ 28 Lakh.

Closing cash will be ₹ 141.60 Lakh.

NAV / unit = ₹ 2292 / 200 Lakh = ₹ 11.46 (in above case)

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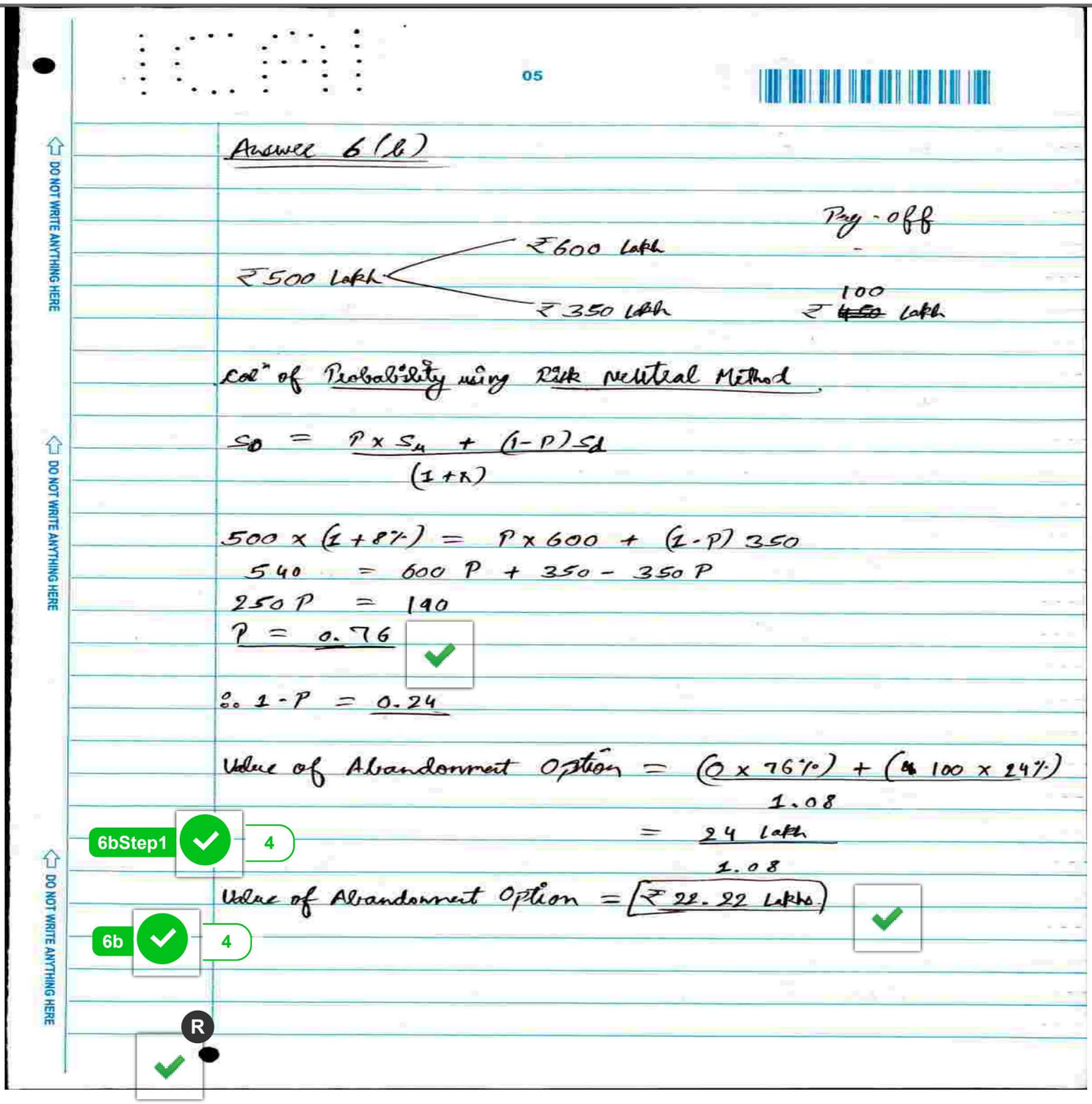
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Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**43**



05

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Answer 6 (b)

Pay-off

₹500 Lakh → ₹600 Lakh
₹500 Lakh → ₹350 Lakh

100
₹ ~~150~~ Lakh

Cal^n of Probability using Risk Neutral Method

$$S_0 = \frac{P \times S_u + (1-P) S_d}{(1+r)}$$

$500 \times (1+8\%) = P \times 600 + (1-P)\,350$

$540 = 600P + 350 - 350P$

$250P = 190$

$P = 0.76$ ✓

$\therefore 1-P = 0.24$

Value of Abandonment Option $= \frac{(0 \times 76\%) + (100 \times 24\%)}{1.08}$

$= \frac{24 \text{ Lakh}}{1.08}$

Value of Abandonment Option = ₹ 22.22 Lakhs ✓

6bStep1 ✓ 4

6b ✓ 4

R ✓

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Code: FN2AF154893 **Total Marks:** 70
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06

Answer 6 (c)

(1) Pass Through certificate (PTC)

As the name suggests, all cash flows of interest & principal repayments are passed to the SPV. This instrument represents direct claim of investors on securitised assets. Investors have beneficial interest in all cash flows.

(2) Pay Through security (PTS)

Contrary to PTC, in PTS, since SPV debt instruments are asset backed, it can restructure different tranches of varying maturities of receivables.

In other words, this instrument facilitates desynchronisation of the timing of security issued from cash flows from assets. Further, SPV can reinvest surplus funds for short term gain.

(3) Stripped Securities

6cStep1 3

Securities are divided into following two categories based on nature of cash flows :

- Interest only (IO) securities
- Principal only (PO) securities.

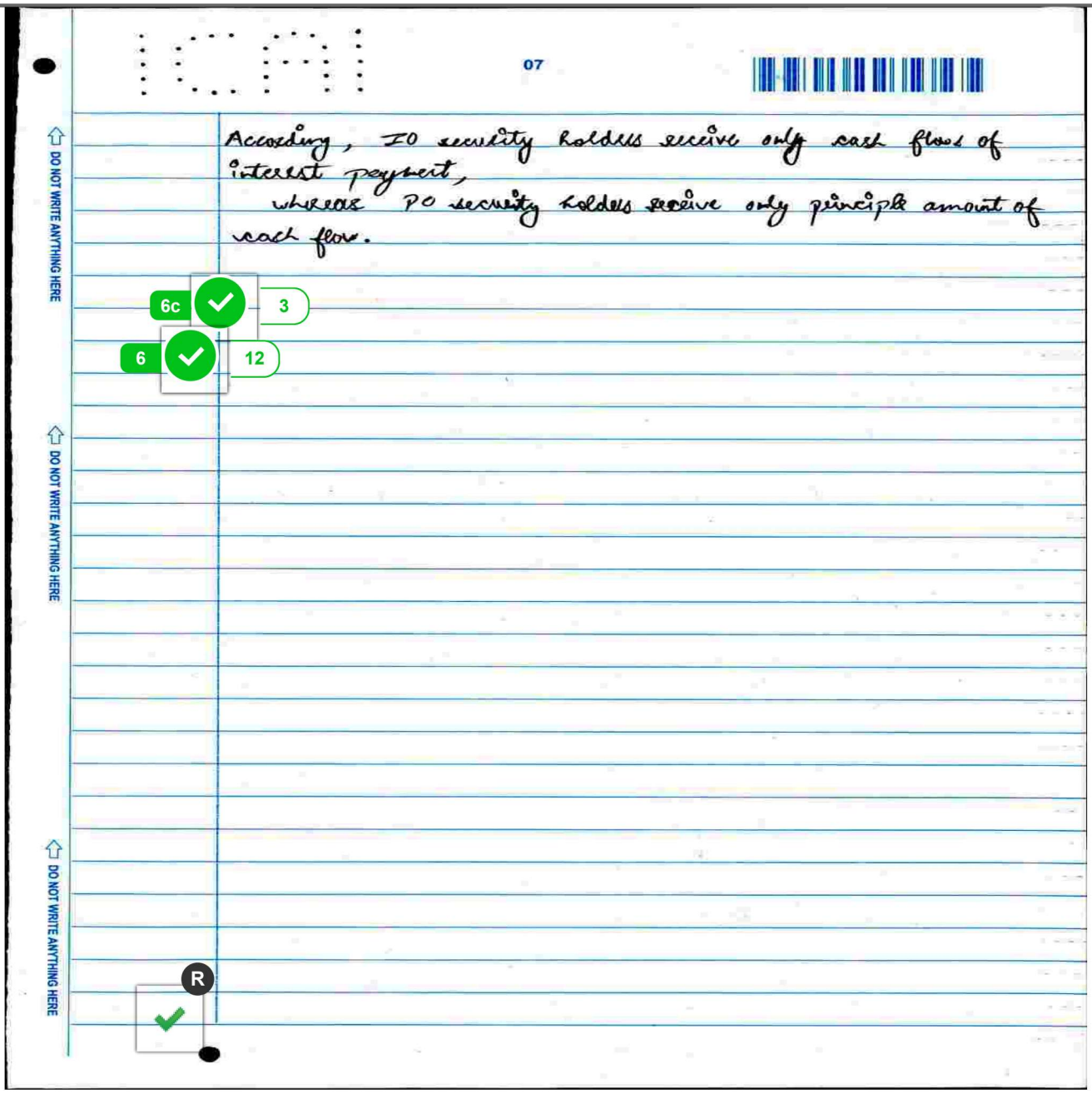
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08

Answer 1(a)

Initial investment = ₹ 25 Lakhs

Avg. annual yield = 16.8%

Period = 6 years

Value of investment on 31 March 2025 = ₹ 25 Lakh + (25 × 16.8% × 6)
= ₹ 50.20 Lakhs ✓

NAV/unit on 31 March 2025 = ₹110/unit

Total no. of units on 31 March 2025 = 50.20 Lakh / 110 = 45,636.36 units ✓

Accordingly, no. of units of 30.09.2023 (Pre-bonus) = 45636.36 × 5/7
= 32,597.40 ✓

1aStep1 ✓ 4

and no. of units on 30.09.2021 (Pre-bonus) = 32597.40 × 4/5

1aStep2 ✓ 2

= 26,077.92 units ✓

NAV/unit on 01 April 2019 = 2500000 / 26,077.92
= ₹95.87/unit ✓

1a ✓ 6

R

✓

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09

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Answer 1(a)

(i) Promoter Holding = 84% = 126 Lakh shares

Free float Holding = 100% - 84% = 16%

Free float market cap. = ~~₹38~~ ₹38.40 crs.

∴ Total Market Cap. = $\frac{38.40 \text{ crs}}{16\%}$ = ₹240 crs.

P/E Ratio = $\frac{\text{Market Cap.}}{\text{Profit after Tax}}$ = $\frac{240}{9.6}$ = 25 ✗

(ii) Promoters are to reduce their holding to 75%.

∴ 126 Lakh shares represent 75%.

Hence, total share should be $\frac{126 \text{ Lakh}}{75\%}$ = 168 Lakh shares.

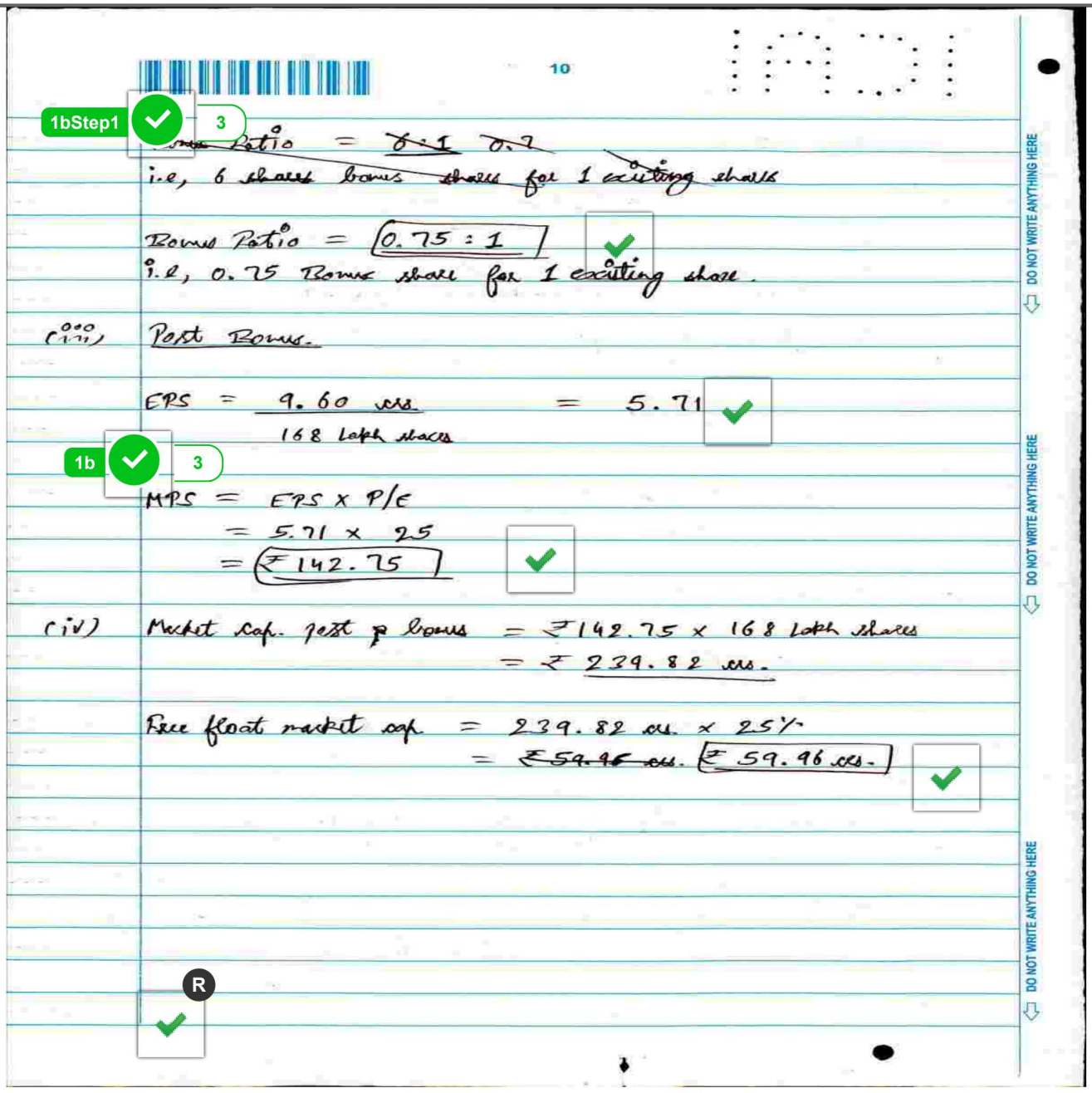
Present shareholding of minority = 126 Lakh × 16% / 24% = 24 Lakh

Bonus share to be issued = (168 Lakh - 126 Lakh) - 24 Lakh
= ~~144 Lakh~~ 18 Lakh.

R ✓

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10

1bStep1 ✓ 3

~~Bonus Ratio = 6:1 0.7~~

~~i.e, 6 shares bonus shall for 1 existing shares~~

Bonus Ratio = 0.75 : 1 ✓

i.e, 0.75 Bonus share for 1 existing share.

(iii) Post Bonus.

EPS = 9.60 crs. / 168 Lakh shares = 5.71 ✓

1b ✓ 3

MPS = EPS x P/E

= 5.71 x 25

= ₹142.75 ✓

(iv) Market cap. post of bonus = ₹142.75 x 168 Lakh shares

= ₹ 239.82 crs.

Free float market cap = 239.82 crs. x 25%

= ~~₹59.95 crs.~~ ₹ 59.96 crs. ✓

R ✓

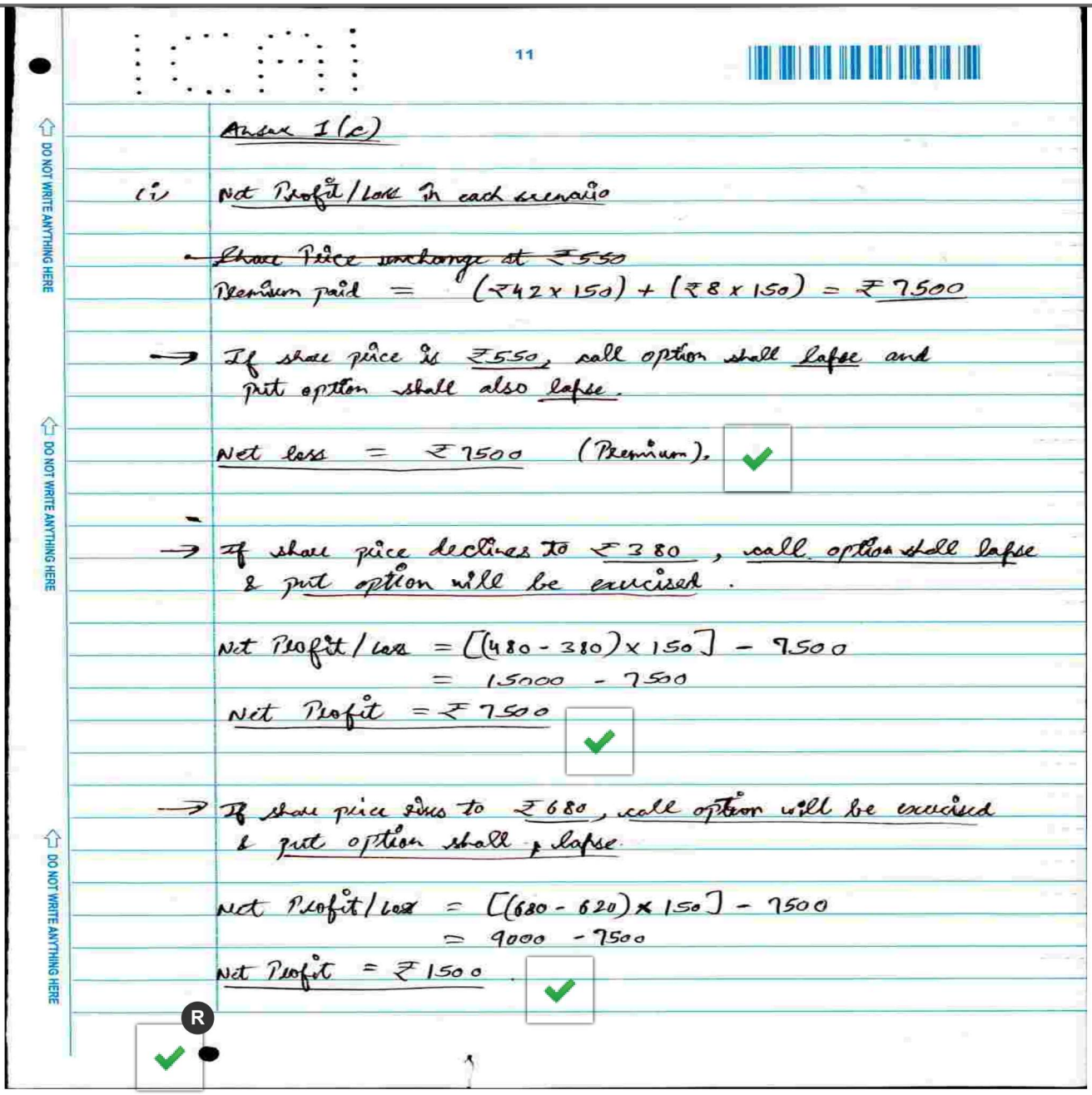
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11

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Answer 1(c)

(i) Net Profit/Loss in each scenario

~~Share Price unchange at ₹550~~

Premium paid = (₹42 x 150) + (₹8 x 150) = ₹7500

→ If share price is ₹550, call option shall lapse and put option shall also lapse.

Net loss = ₹7500 (Premium).

→ If share price declines to ₹380, call option shall lapse & put option will be exercised.

Net Profit/Loss = [(480 - 380) x 150] - 7500
= 15000 - 7500
Net Profit = ₹7500

→ If share price rises to ₹680, call option will be exercised & put option shall lapse.

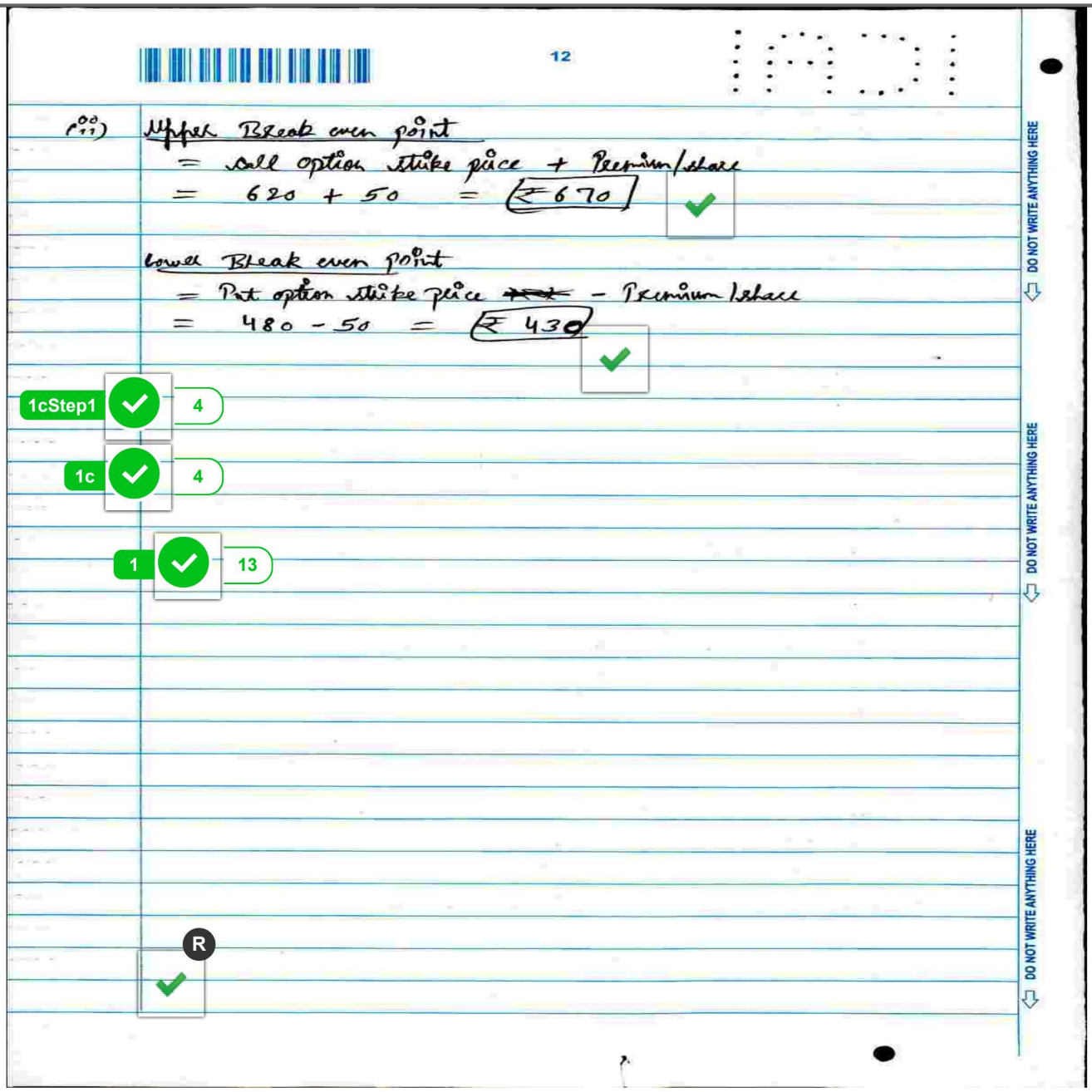
Net Profit/Loss = [(680 - 620) x 150] - 7500
= 9000 - 7500
Net Profit = ₹1500

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Answer 3 (b)

(i) Euro/Pound = USD/GBP ÷ USD/EURO

Bid Rate =

Answer 4 (a)

(i) Since AB Ltd. is a Borrow Rollover, it shall purchase cap option at strike price of rate of 8%-p.a. (PLR).

Since XY Ltd. is Depositor, it shall buy floor option at strike rate of 8%-p.a. (PLR).

4aStep1 2

The periods of option shall 5 & 3 years, respectively, and notional amt. of ₹5 million & ₹2 million, respectively.
If PLR goes above 8%-p.a., AB Ltd. will receive the difference amt. under cap option.

If PLR goes below 8%-p.a, XY Ltd. will receive the difference amt. under floor option.

(ii) Premium paid by AB Ltd. = ₹5,000,000 ~~× 8% × 5~~ × 0.4%
= ~~₹8,000~~ ₹20,000

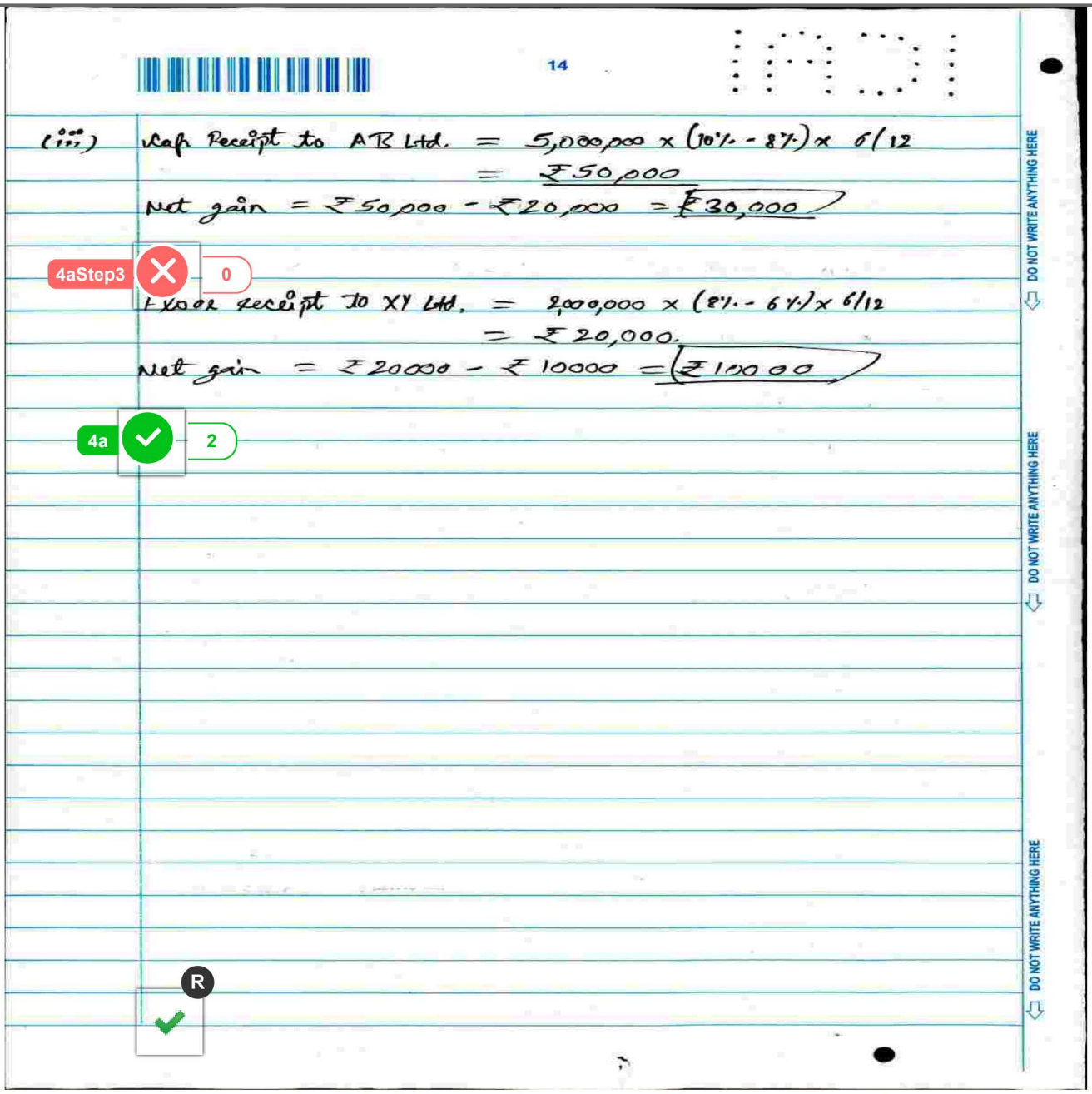
4aStep2 0

Premium paid by XY Ltd. = ₹2,000,00 ~~× 8% × 3 × 0.4~~ 0.5%
= ~~₹2,400~~ ₹10,000

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Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**43**



14

(iii) Cash Receipt to AB Ltd. = 5,000,000 x (10% - 8%) x 6/12
= ₹50,000
Net gain = ₹50,000 - ₹20,000 = ₹30,000

4aStep3 ✗ 0

Cash receipt to XY Ltd. = 2,000,000 x (8% - 6%) x 6/12
= ₹20,000.
Net gain = ₹20000 - ₹10000 = ₹10000

4a ✓ 2

R ✓

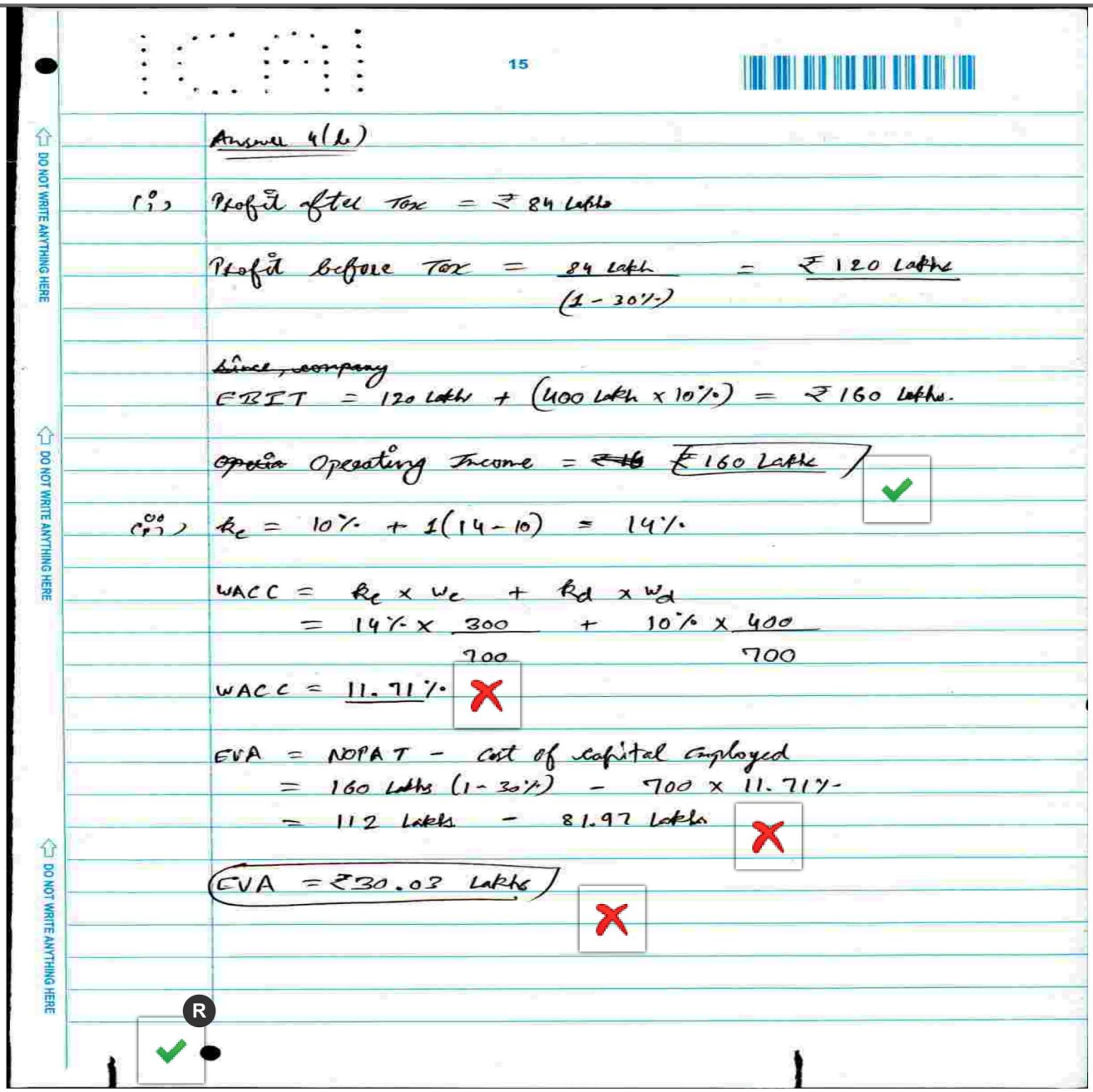
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15

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Answer 4(b)

(i) Profit after Tax = ₹ 84 Lakhs

Profit before Tax = $\frac{84 \text{ Lakh}}{(1-30\%)}$ = ₹ 120 Lakhs

Since, company

EBIT = 120 Lakh + (400 Lakh × 10%) = ₹ 160 Lakhs.

Operating Income = ~~₹ 16~~ ₹ 160 Lakhs ✓

(ii) K_e = 10% + 1(14 − 10) = 14%

WACC = $K_e \times W_e + K_d \times W_d$

= 14% × $\frac{300}{700}$ + 10% × $\frac{400}{700}$

WACC = 11.71% ✗

EVA = NOPAT − Cost of capital employed

= 160 Lakhs (1 − 30%) − 700 × 11.71%

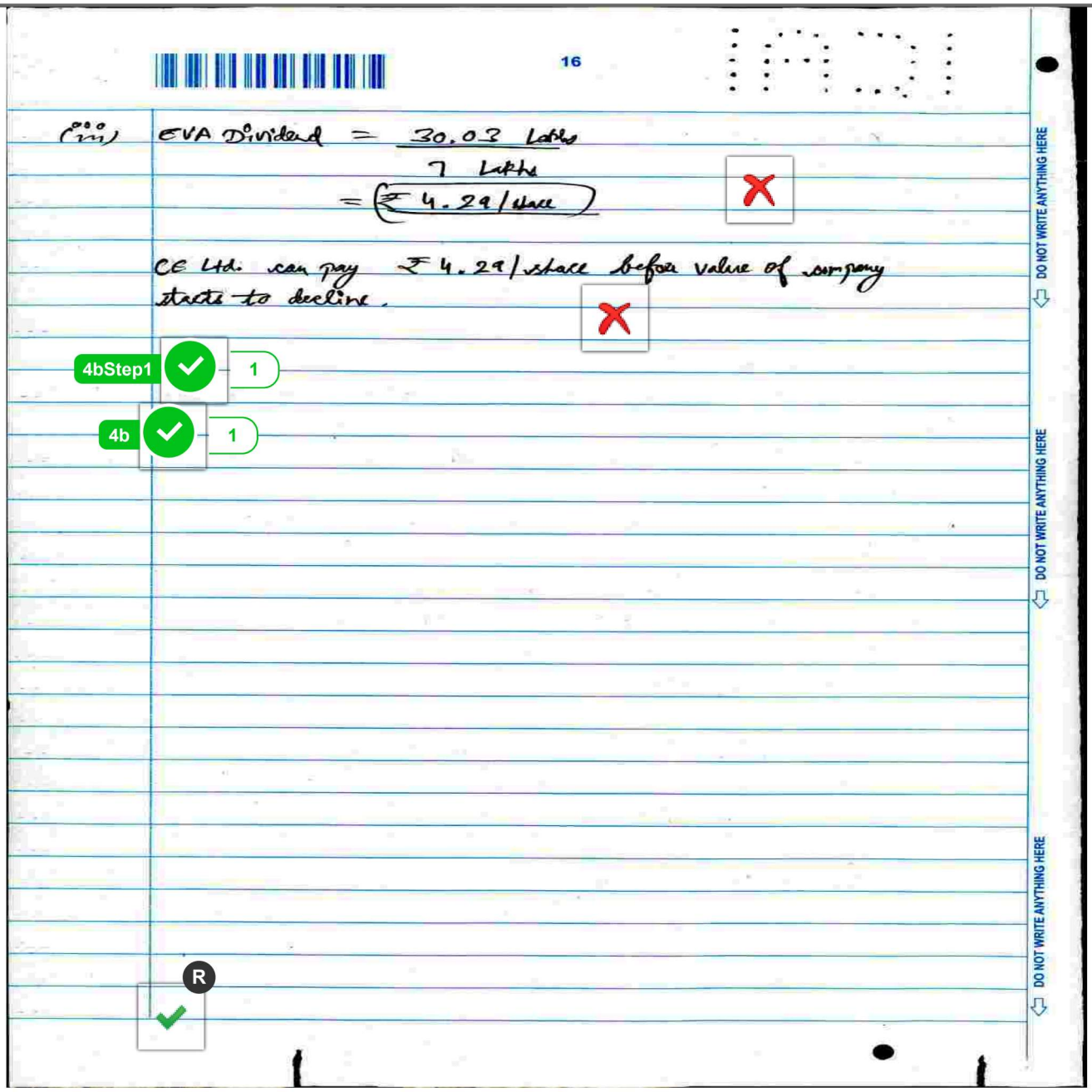
= 112 Lakhs − 81.97 Lakhs ✗

EVA = ₹ 30.03 Lakhs ✗

R ✓

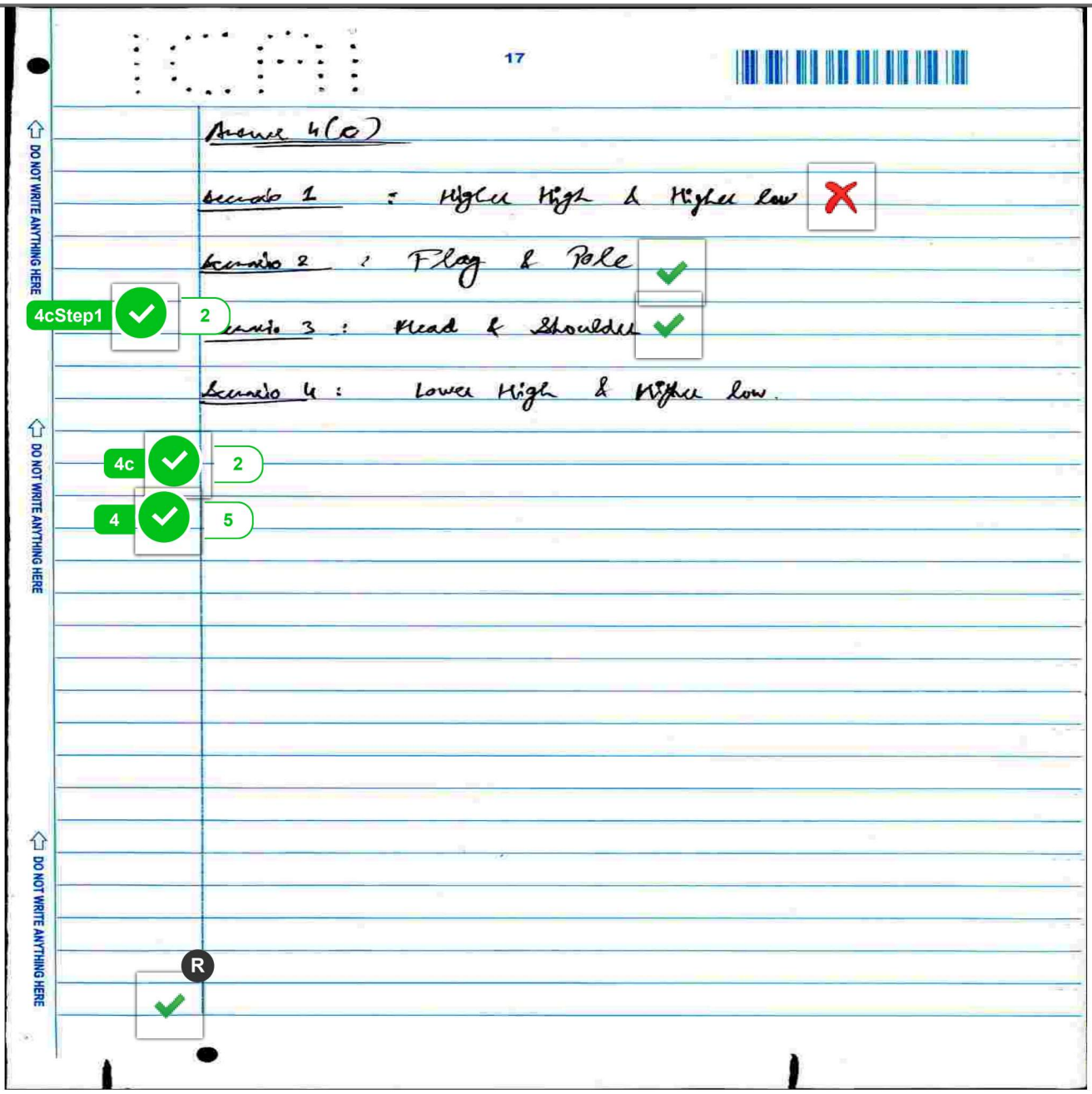
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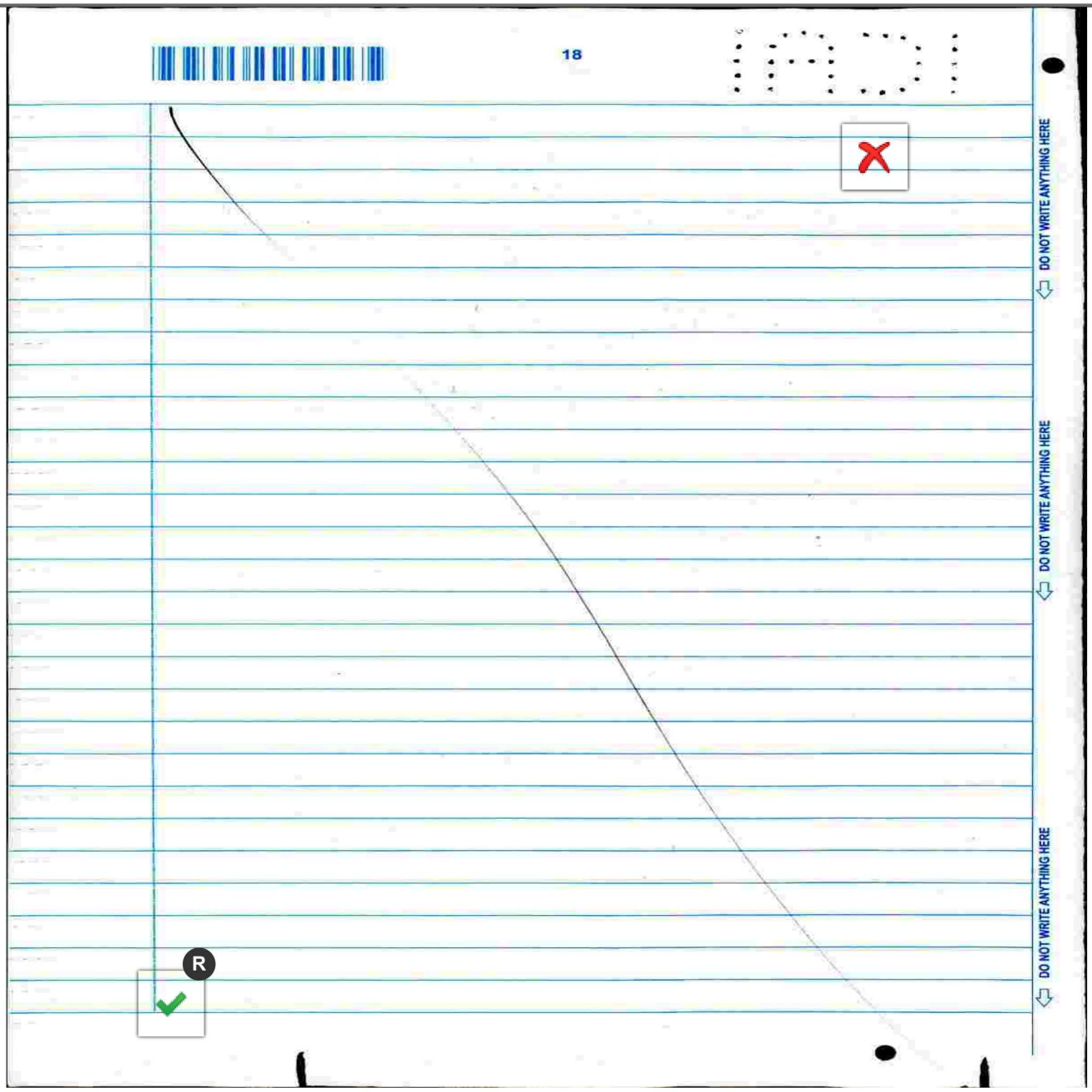
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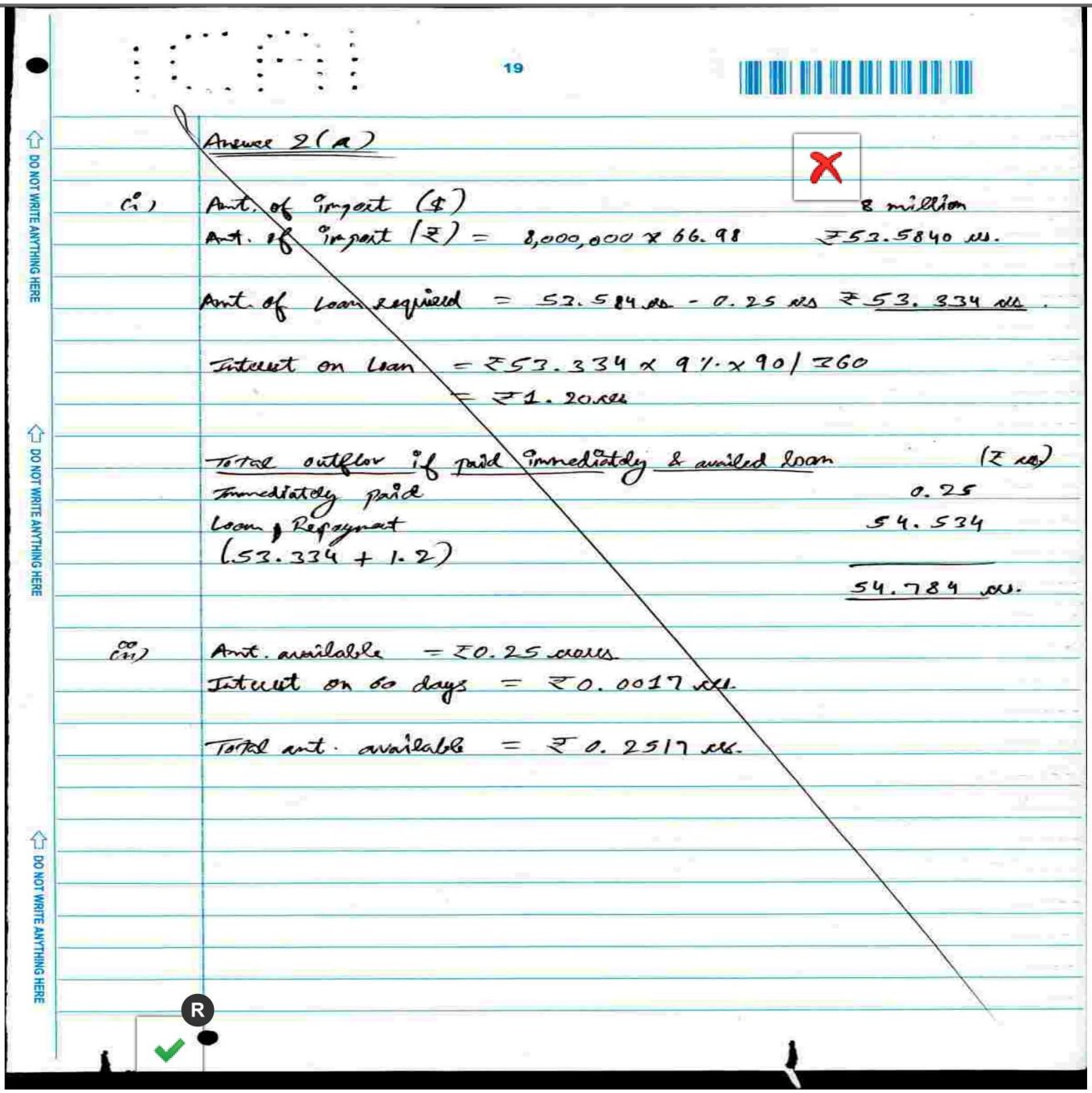
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19

Answer 2(a)

(i) Amt. of import ($) 8 million
Amt. of import (₹) = 8,000,000 × 66.98 ₹53.5840 lakhs.

Amt. of loan required = 53.584 lakhs − 0.25 lakhs ₹53.334 lakhs.

Interest on loan = ₹53.334 × 9% × 90/360
= ₹1.20 lakhs

Total outflow if paid immediately & availed loan (₹ in lakhs)

Immediately paid	0.25
Loan & Repayment (53.334 + 1.2)	54.534
	54.784 lakhs.

(ii) Amt. available = ₹0.25 crores
Interest on 60 days = ₹0.0017 lakhs.

Total amt. available = ₹0.2517 lakhs.

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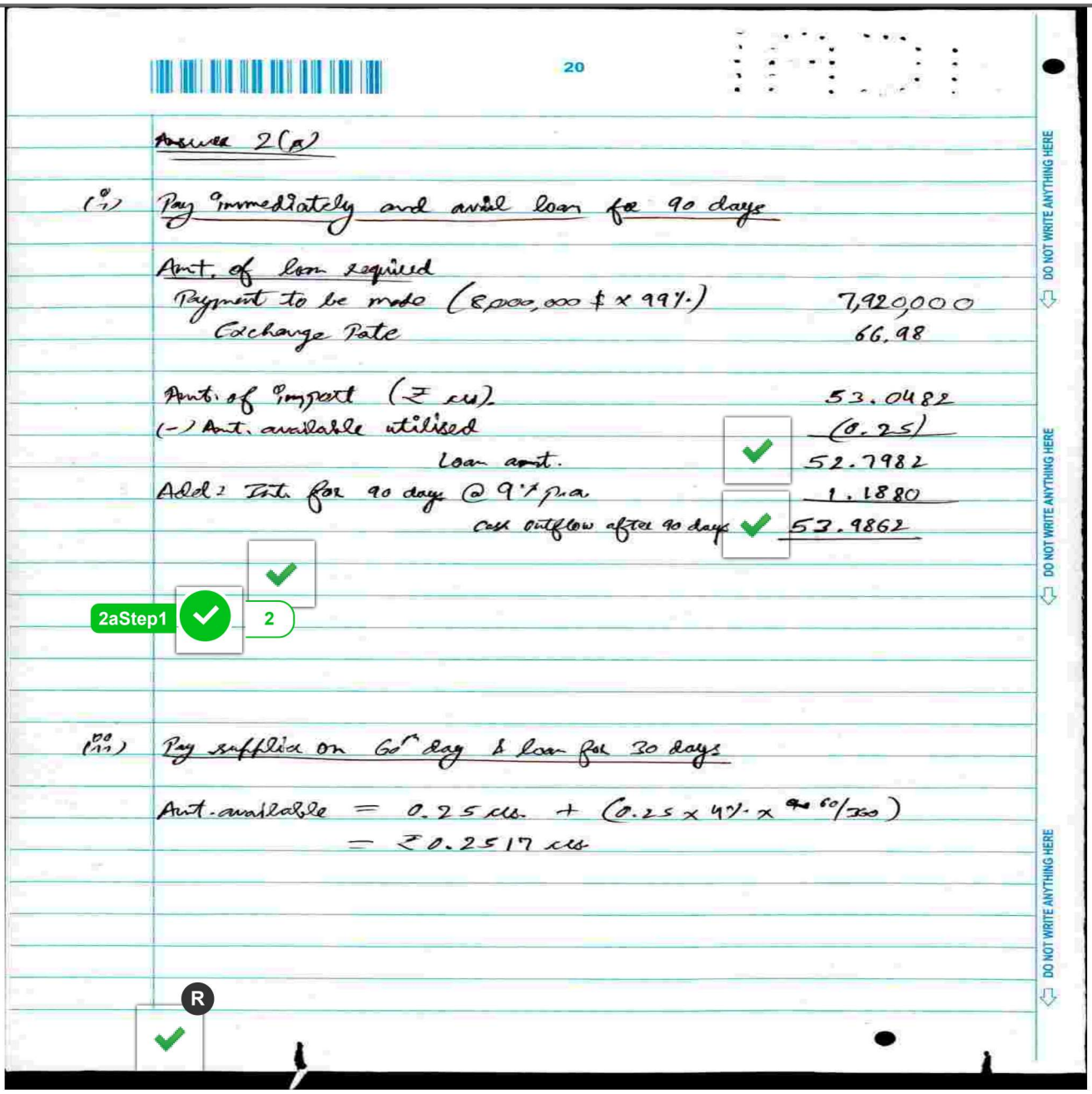
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20

Answer 2(a)

(i) Pay immediately and avail loan for 90 days

Amt. of loan required	
Payment to be made ($8,000,000 × 99%)	7,920,000
Exchange Rate	66.98
Amt. of import (₹ cr)	53.0482
(-) Amt. available utilised	(0.25)
Loan amt.	52.7982
Add: Int. for 90 days @ 9% p.a.	1.1880
cash outflow after 90 days	53.9862

2aStep1 2

(ii) Pay suppliers on 60th day & loan for 30 days

Amt. available = 0.25 crs + (0.25 × 4% × 60/360)

= ₹0.2517 crs

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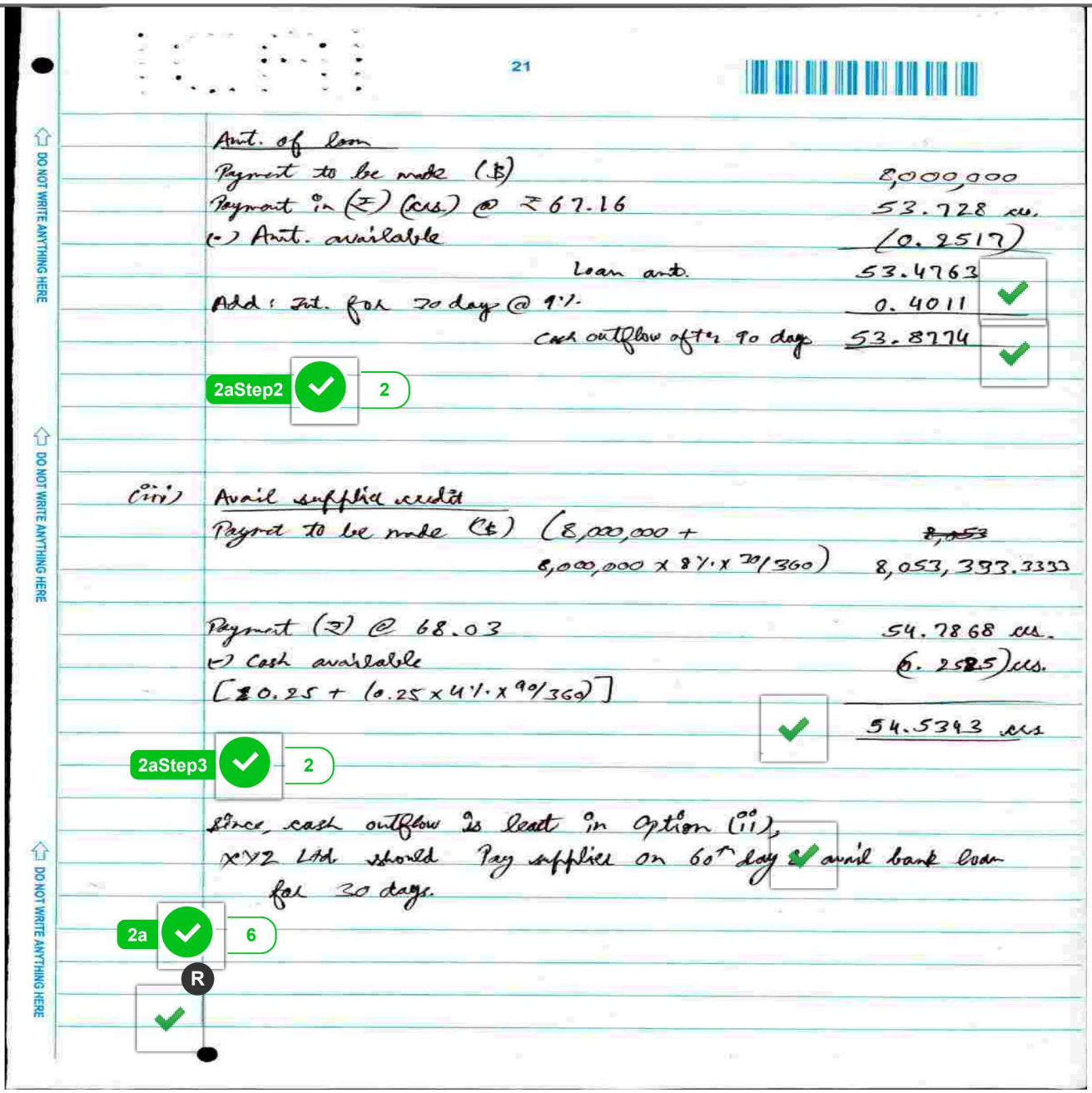
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21

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Amt. of loan
Payment to be made ($) 8,000,000
Payment in (₹) (Rs.) @ ₹67.16 53.728 Rs.
(-) Amt. available (0.2517)
Loan amt. 53.4763
Add: Int. for 30 days @ 9% 0.4011
Cash outflow after 90 days 53.8774

2aStep2 2

(iii) Avail suppliers credit
Payment to be made ($) (8,000,000 + 8,000,000 × 8% × 90/360) ~~8,053~~ 8,053,393.3333

Payment (₹) @ 68.03 54.7868 Rs.
(-) Cash available (0.2525) Rs.
[$0.25 + (0.25 × 4% × 90/360)]
54.5343 Rs

2aStep3 2

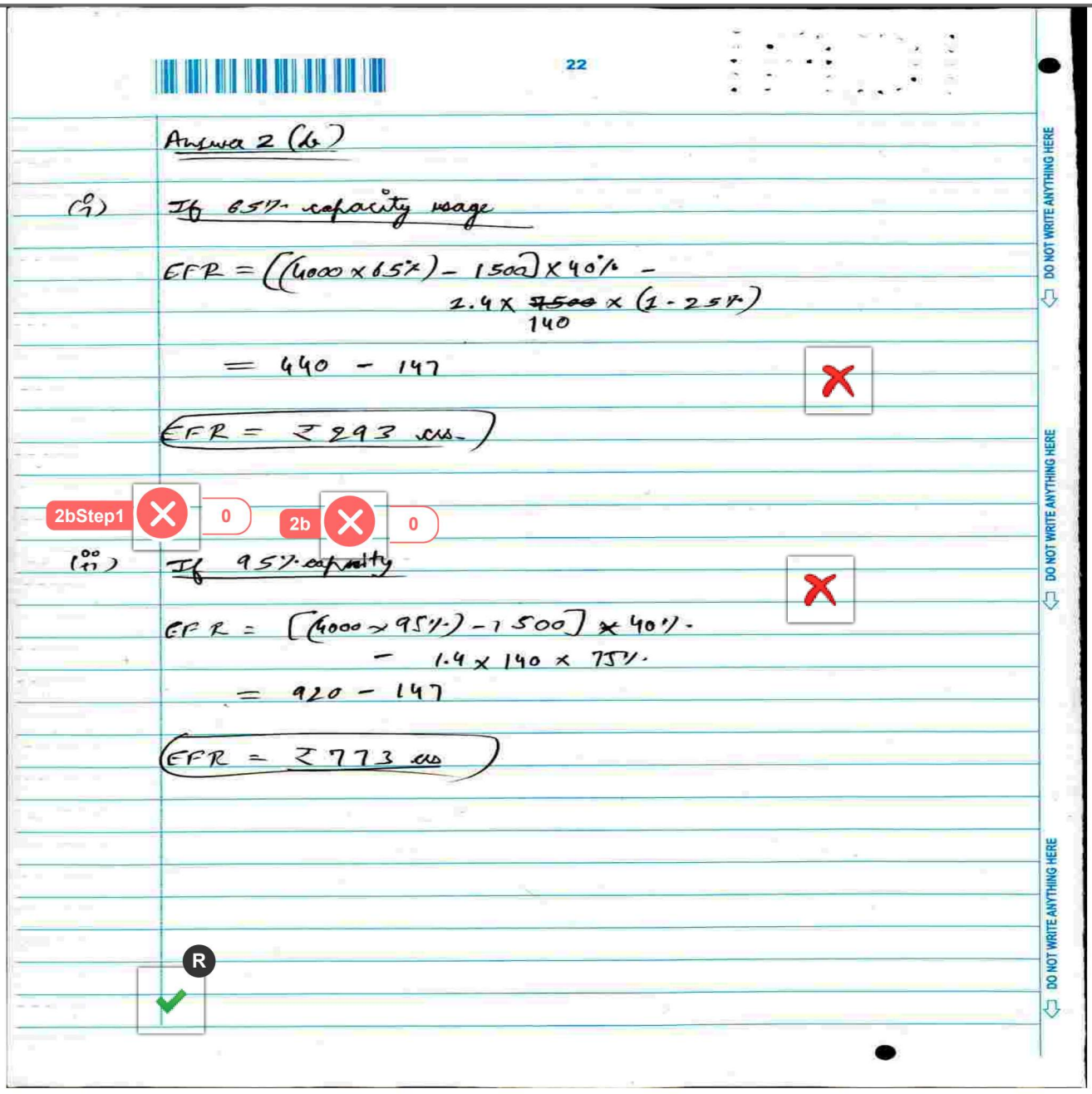
Since, cash outflow is least in option (ii), XYZ Ltd should Pay suppliers on 60th day & avail bank loan for 30 days.

2a 6

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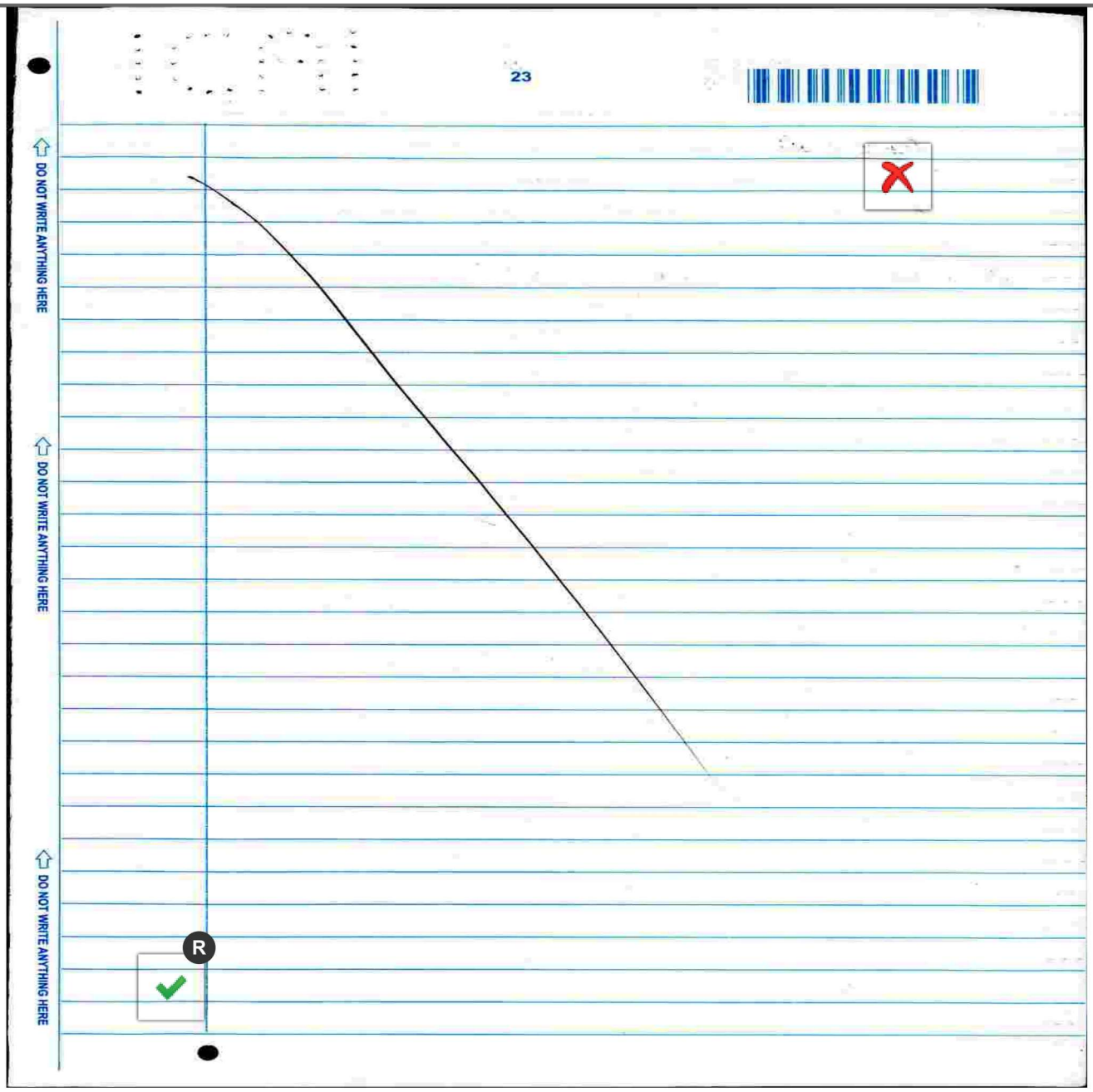
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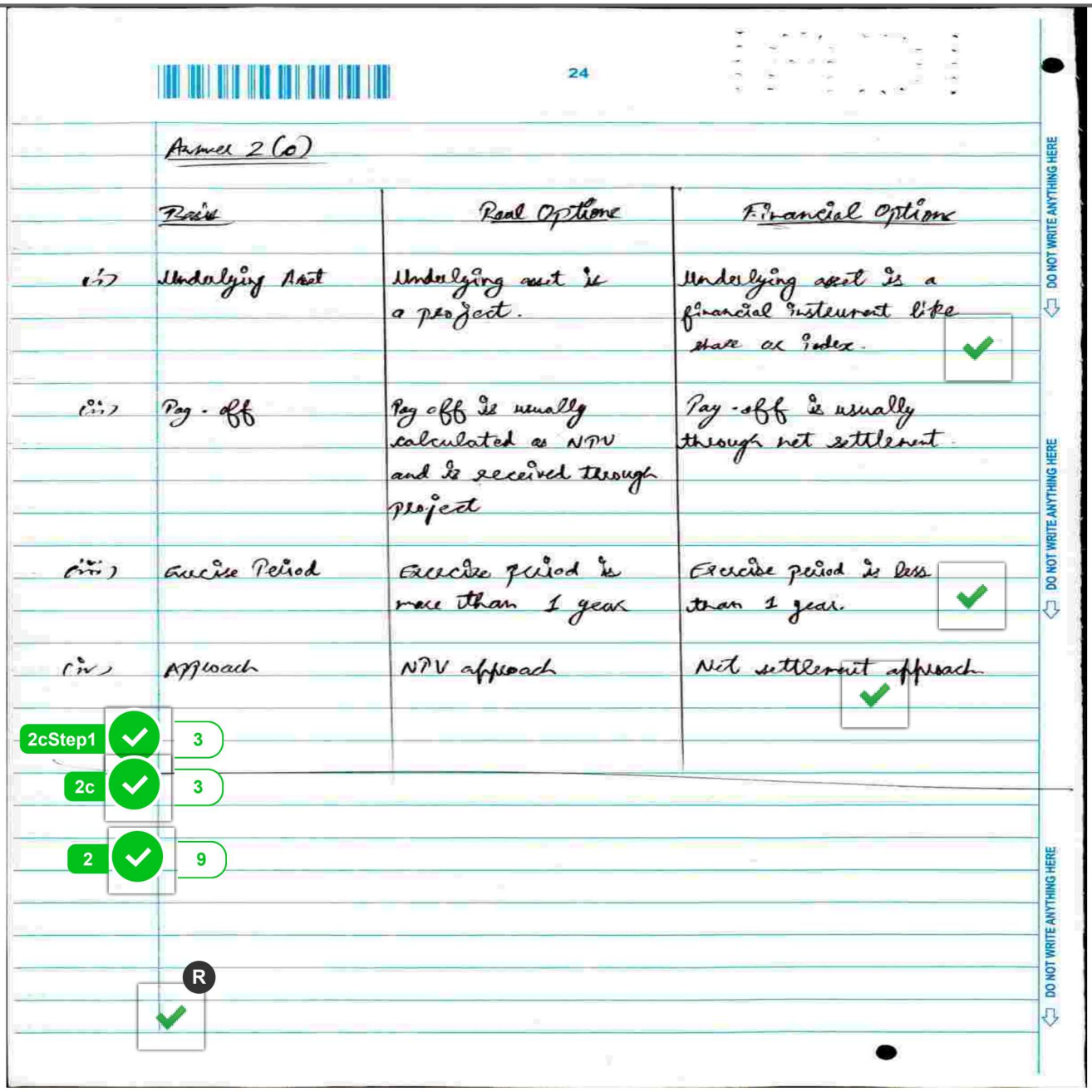
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24

Answer 2 (a)

Basis	Real Options	Financial Options
(i) Underlying Asset	Underlying asset is a project.	Underlying asset is a financial instrument like share or index. ✓
(ii) Pay-off	Pay off is usually calculated as NPV and is received through project	Pay-off is usually through net settlement.
(iii) Excise Period	Excise period is more than 1 year	Excise period is less than 1 year. ✓
(iv) Approach	NPV approach	Net settlement approach ✓

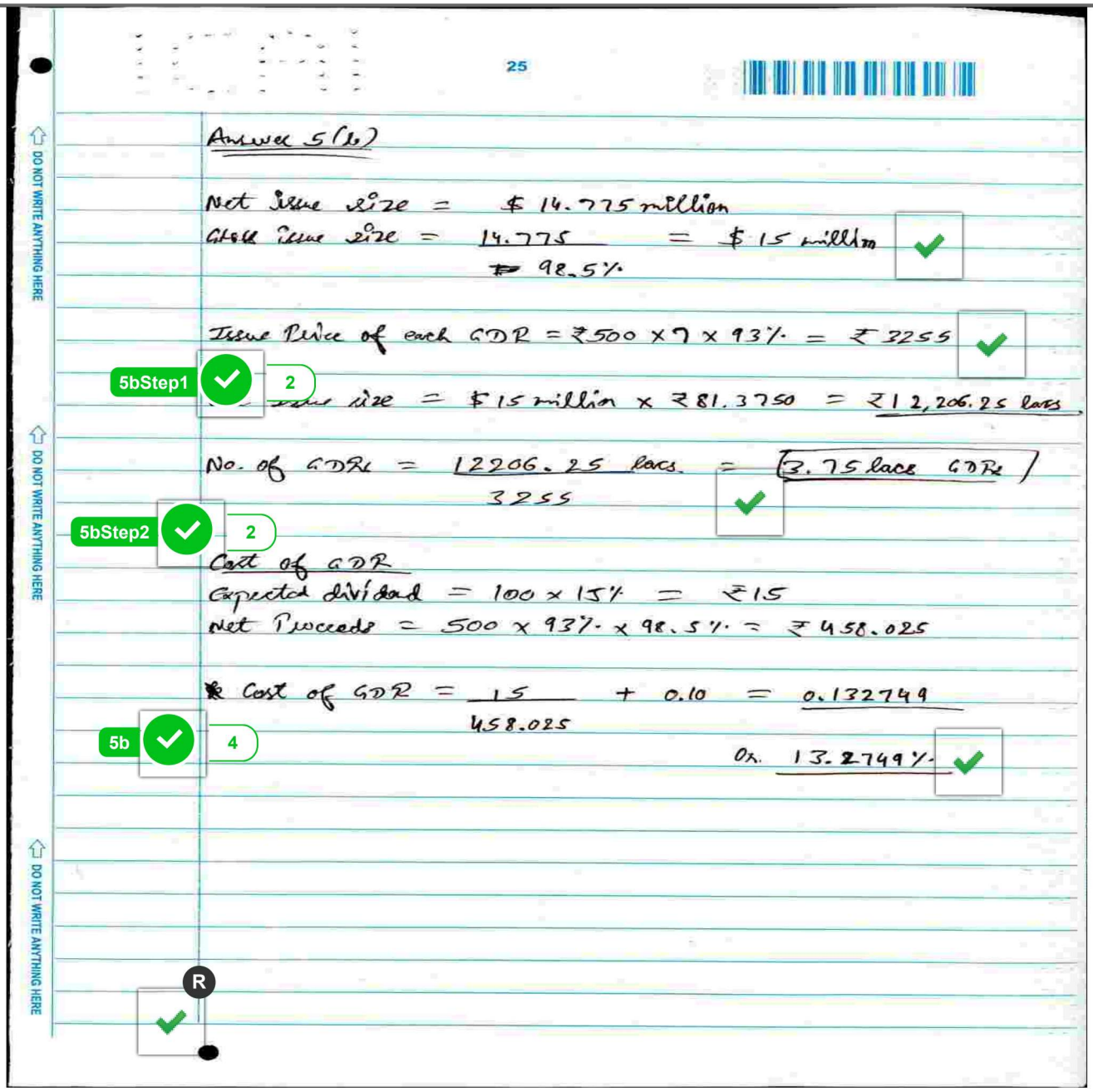
DO NOT WRITE ANYTHING HERE

2cStep1 ✓ 3
2c ✓ 3
2 ✓ 9

R ✓

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Code:	**FN2AF154893**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**43**



25

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Answer 5(b)

Net Issue size = $ 14.775 million

Gross Issue size = 14.775 / 98.5% = $ 15 million

Issue Price of each GDR = ₹500 × 7 × 93% = ₹3255

5bStep1 2

Issue size = $15 million × ₹81.3750 = ₹12,206.25 lacs

No. of GDRs = 12206.25 lacs / 3255 = 3.75 lacs GDRs

5bStep2 2

Cost of GDR

Expected dividend = 100 × 15% = ₹15

Net Proceeds = 500 × 93% × 98.5% = ₹458.025

Cost of GDR = 15 / 458.025 + 0.10 = 0.132749

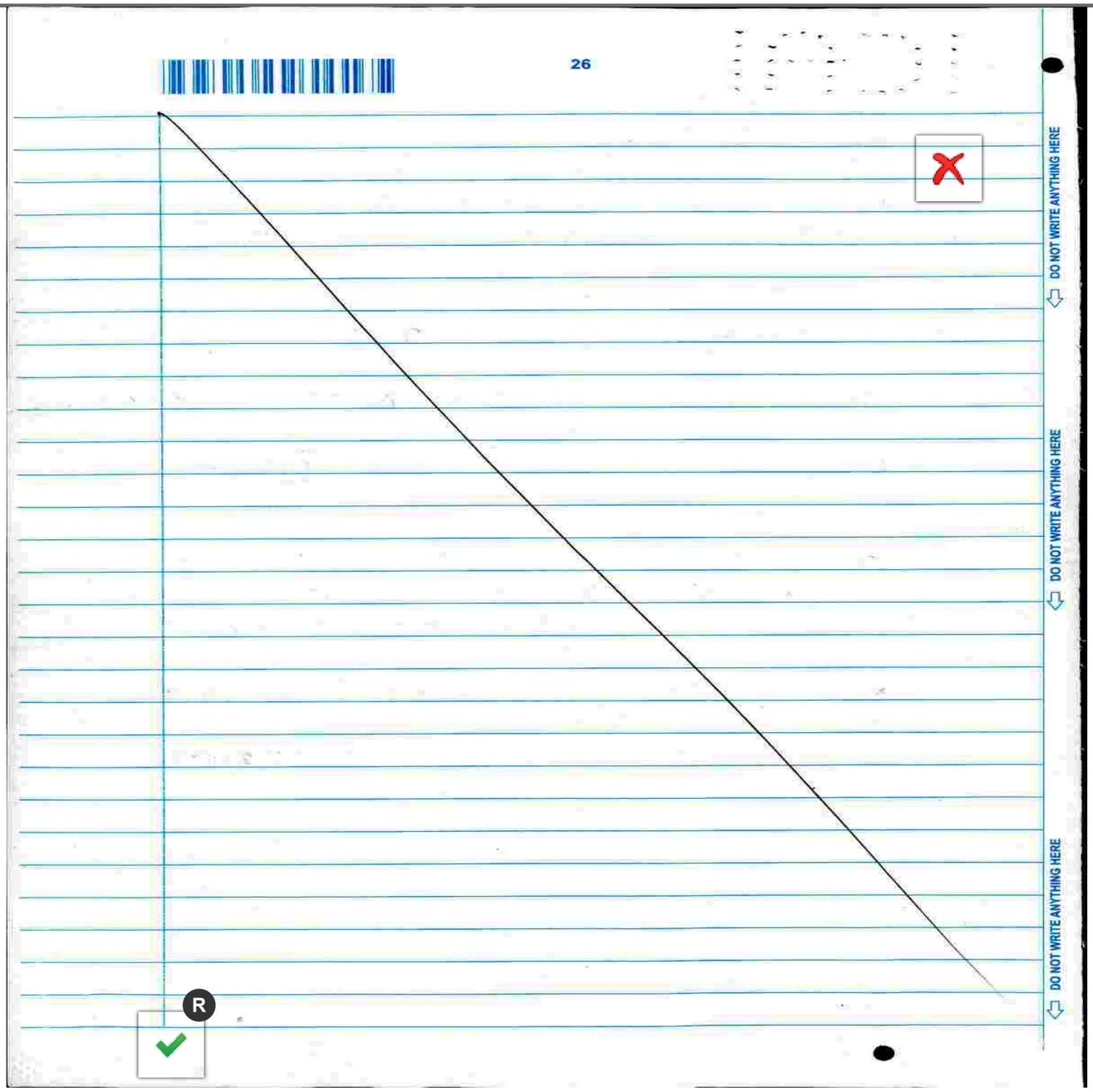
5b 4

Or. 13.2749%

R

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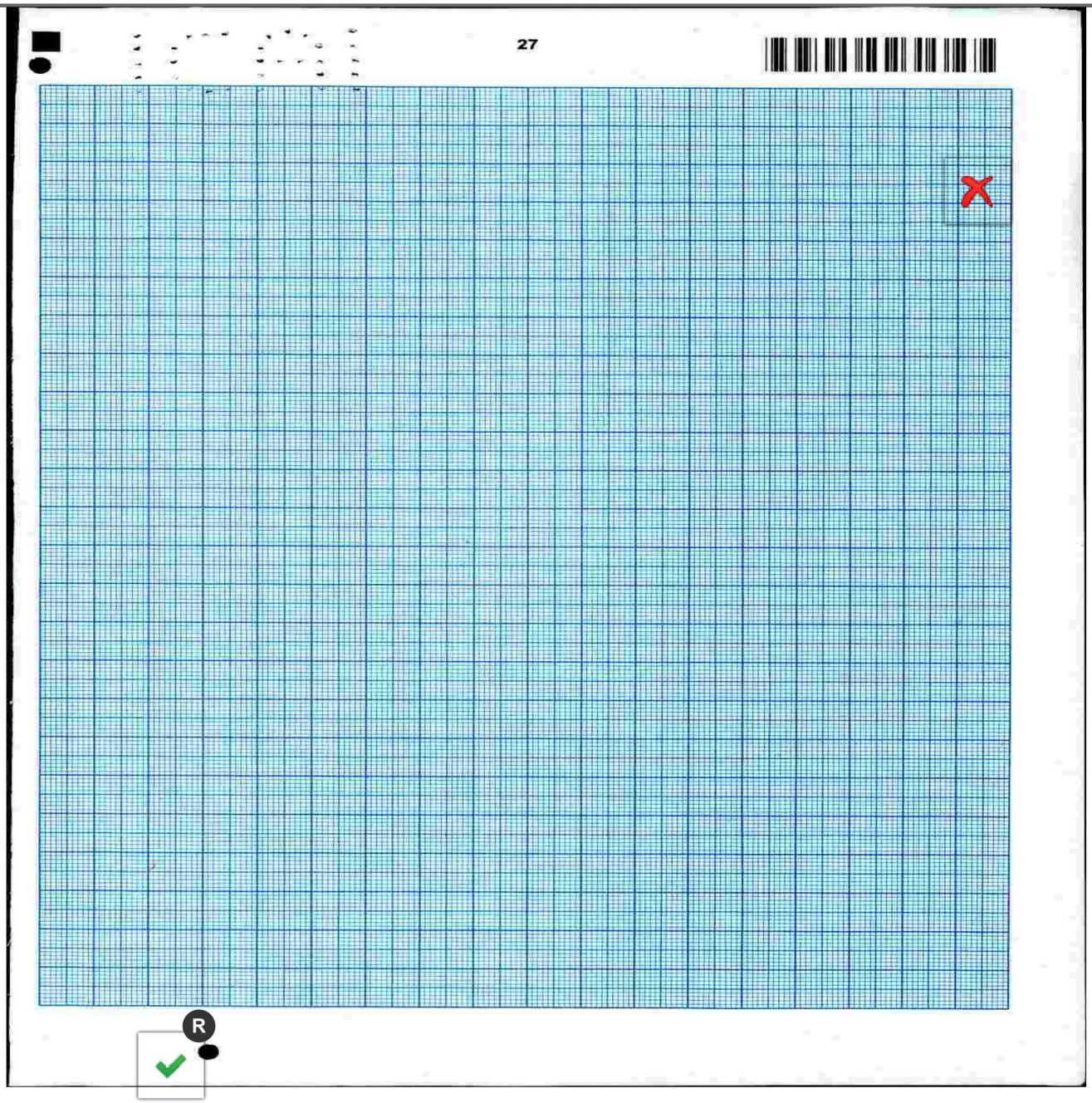
Code:	**FN2AF154893**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**43**



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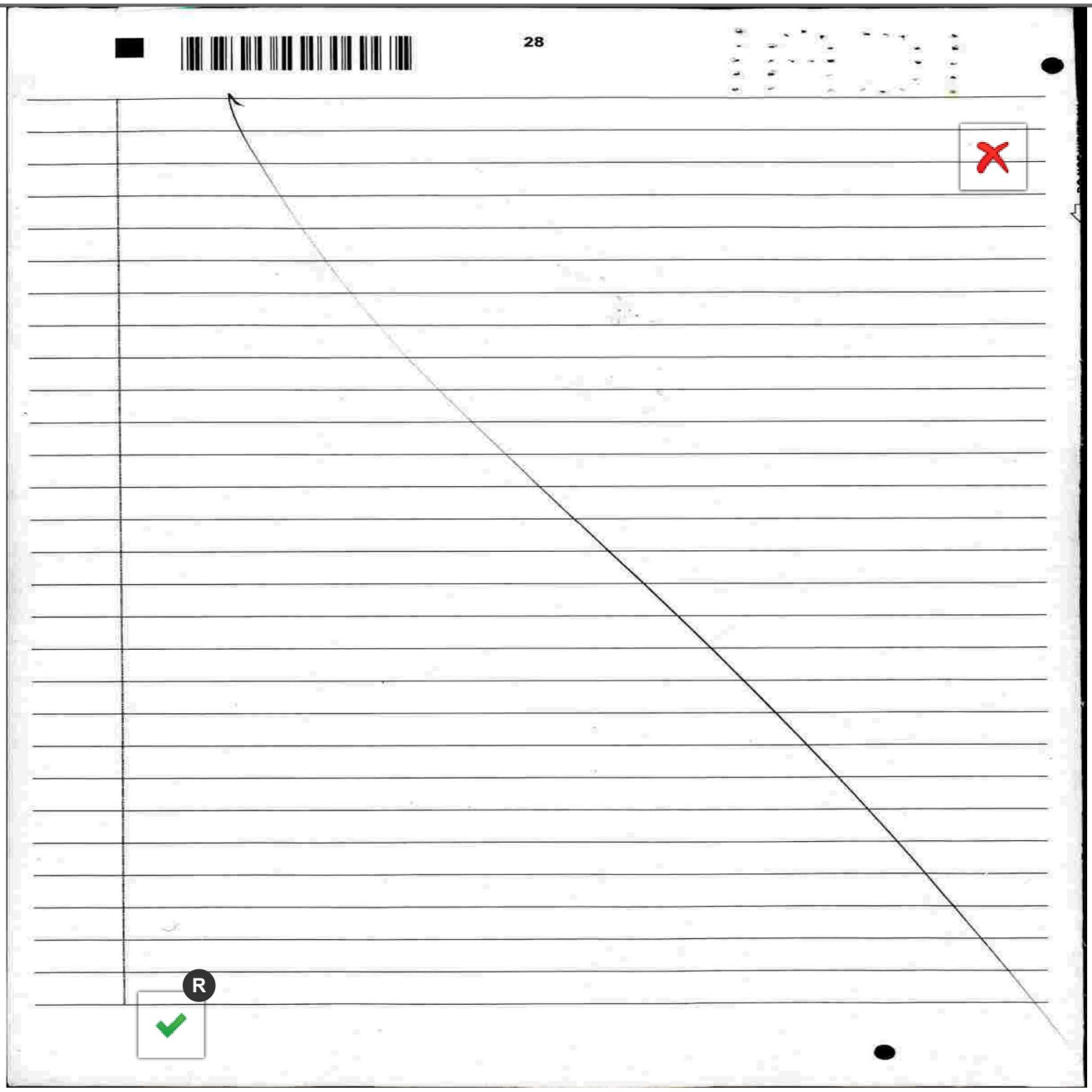
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Code:	**FN2AF154893**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**43**



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Code:	**FN2AF154893**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**43**



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Code: FN2AF154893 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 43

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ADDL. BOOK

2154893-01 1

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

~~Answer 5(a)~~
Answer 5(a)

(i)

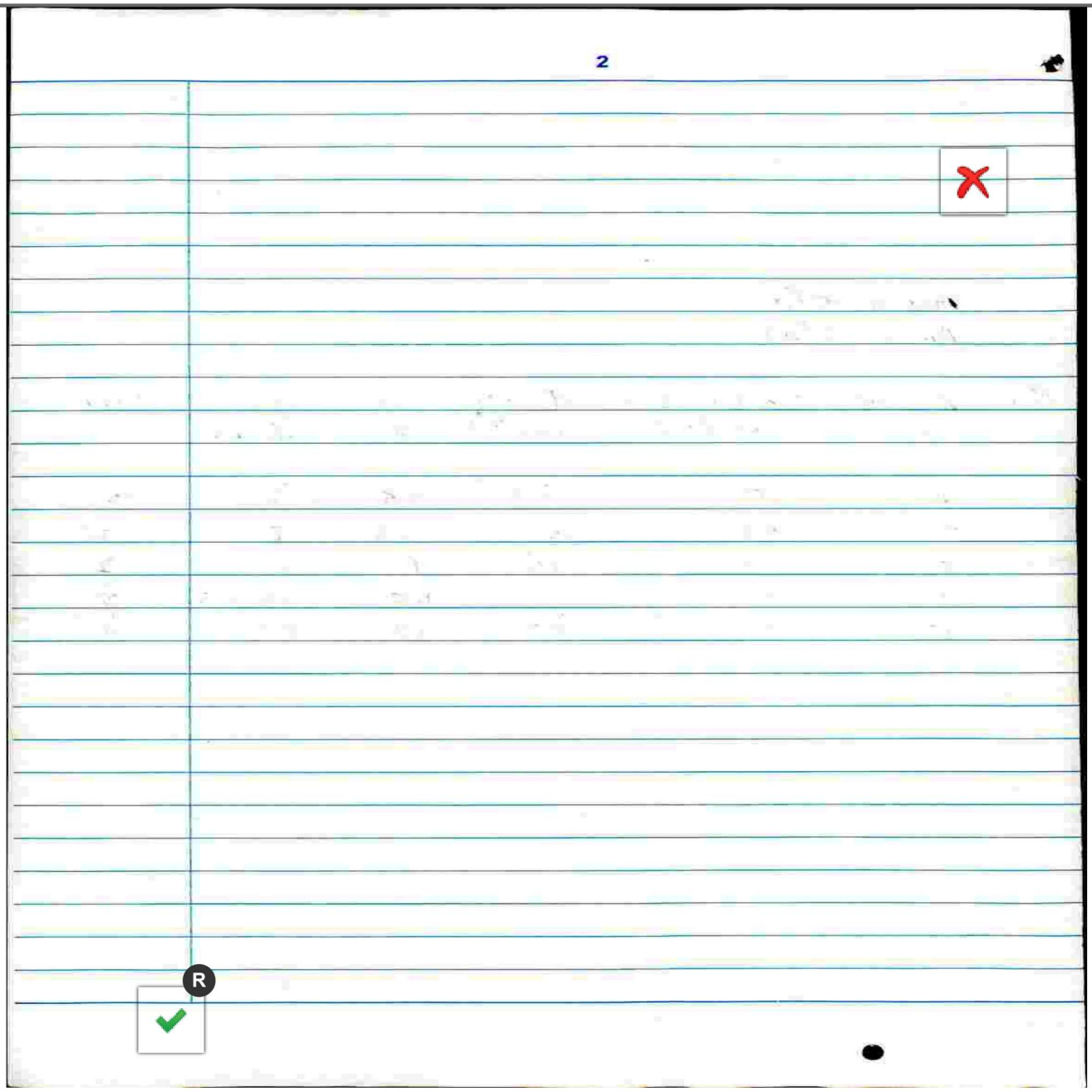
Security	Expected Return (a) (%)	E(R) - Rf (b) (%)	Beta (c)	Treynor Ratio (b/c)	Rank
A	5	(2)	0.5	(4)	~~IV~~
B	25	20	2.5	8	III
C	15	10	1	10	I
D	10	5	1.5	~~4.5~~ 3.33	IV
E	20	15	1.8	8.33	II

5aStep1 0
5aStep2 0
5aStep3 0
5a 0
5 4

R

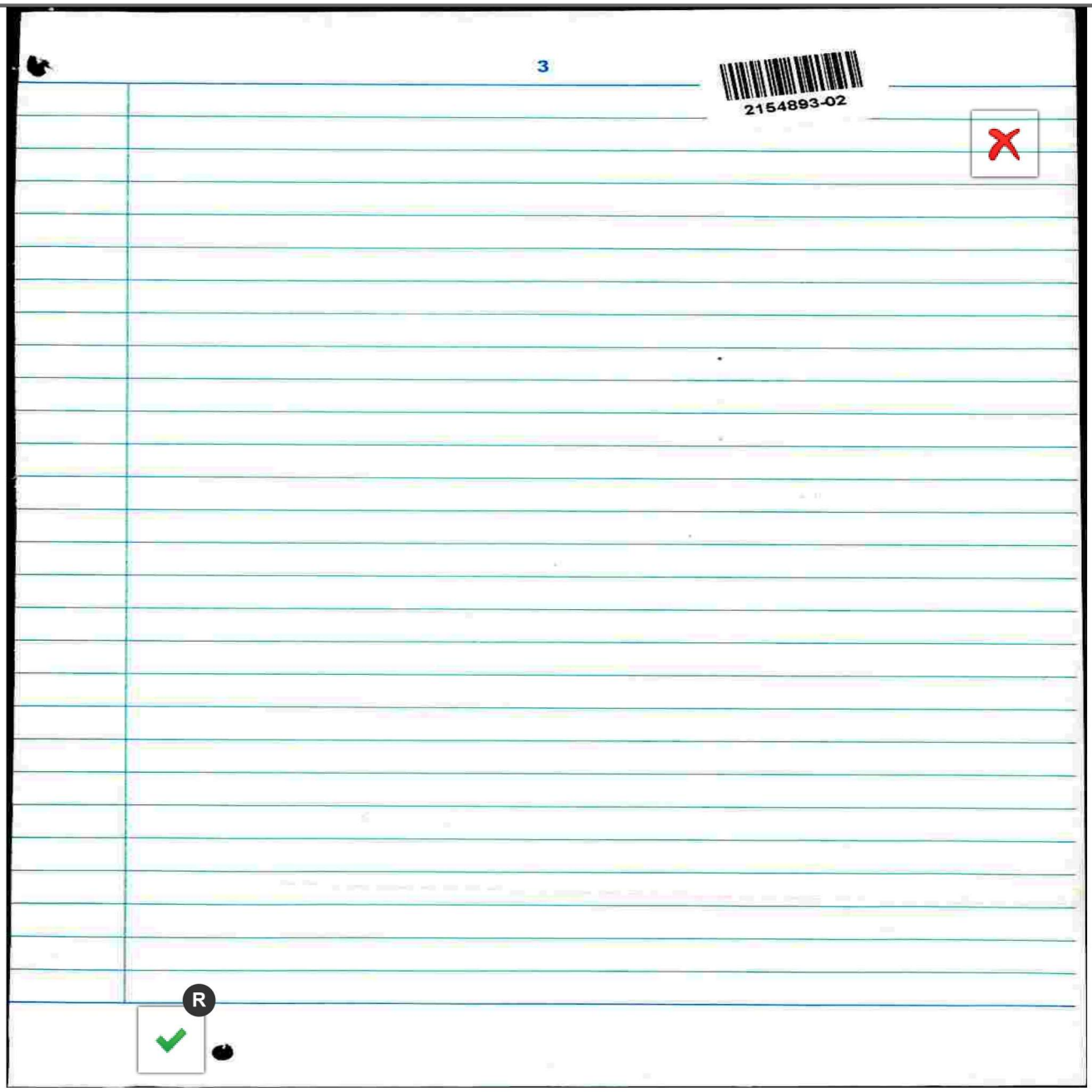
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Code:	**FN2AF154893**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**43**



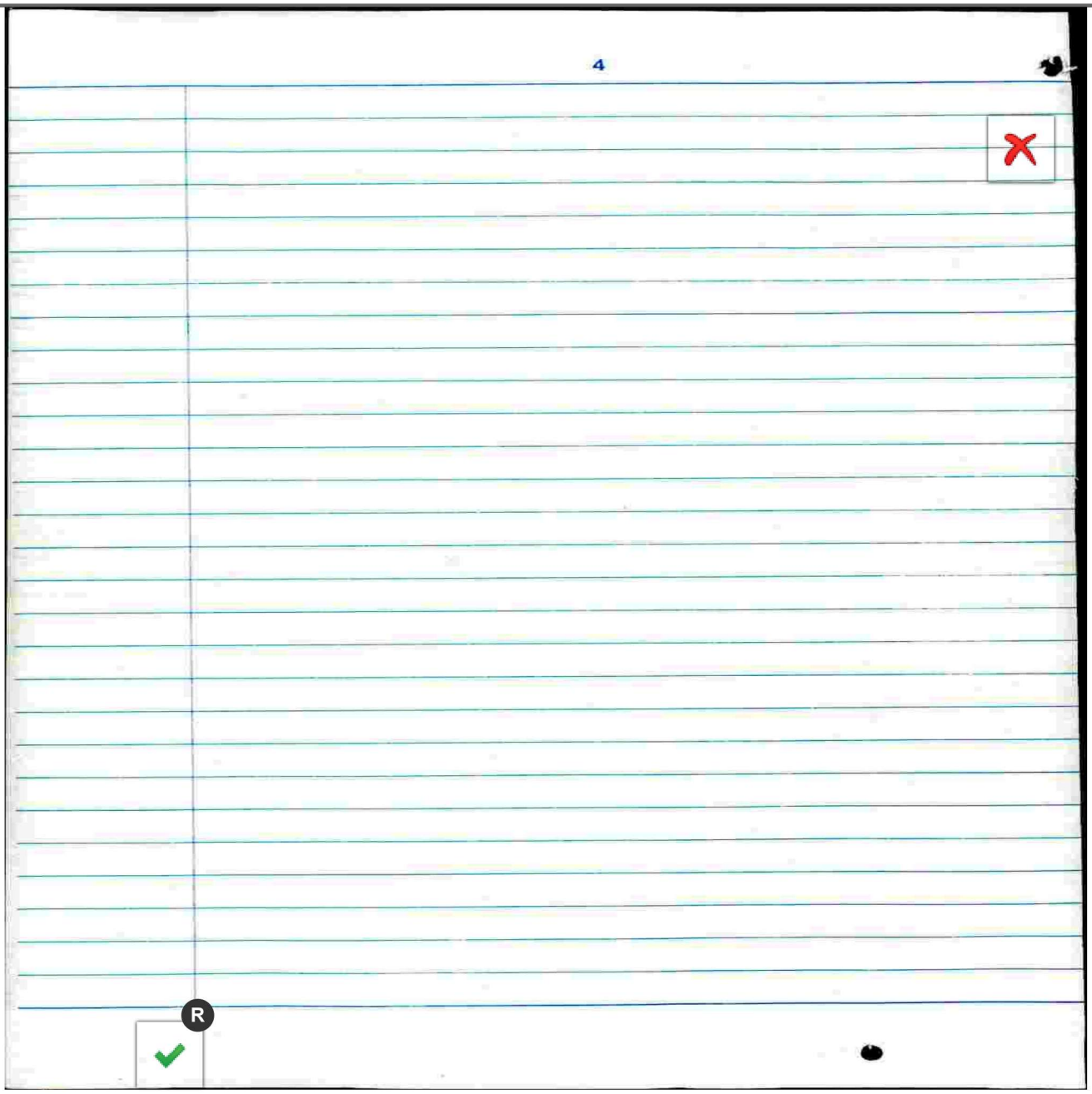
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Code:	**FN2AF154893**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**43**



The Institute of Chartered Accountants of India

Code:	**FN2AF154893**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**43**



The Institute of Chartered Accountants of India

Code: FN2AF154893 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 43

Result Overview

Awarded Marks: 43 Max Marks:70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 13/14)

Question No	Awarded Marks	Maximum Marks	Status
1	13	14	M
1a	6	6	M
1b	3	4	M
1c	4	4	M

Q2_Q6 (Score: 30/56)

Question No	Awarded Marks	Maximum Marks	Status
2	9	14	M
2a	6	6	M
2b	0	4	M
2c	3	4	M
3	0	14	O
3a	0	6	O
3b	0	4	O
3c	0	4	O
4	5	14	M
4a	2	6	M
4b	1	4	M
4c	2	4	M
5	4	14	M
5a	0	8	M
5b	4	6	M

6	12	14	M
6a	5	6	M
6b	4	4	M
6c	3	4	M